REPUBLIC OF KENYA

KENYA LITERATURE BUREAU
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OFFICE OF THE AUDITOR-GENERAL

KENYA LITERATURE BUREAU
P. O. Box 30022 - 00100
NAIROBI

REPORT

OF

THE AUDITOR-GENERAL

ON

THE FINANCIAL STATEMENTS OF KENYA LITERATURE BUREAU

FOR THE YEAR ENDED 30 JUNE 2016

KENYA LITERATURE BUREAU

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED

30 JUNE, 2016

Prepared in accordance with the Accrual Basis of Accounting Method under the International Financial Reporting Standards (IFRS)

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KEY CORPORATE INFORMATION

Background information

Kenya Literature Bureau was established by the Kenya Literature Bureau Act of Parliament Cap 209 of 1980 (Revised 2012). At cabinet level, Kenya Literature Bureau is represented by the Cabinet Secretary for Education, Science and Technology who is responsible for the general policy and strategic direction of Kenya Literature Bureau.

Principal Activities

The principal activity of the Bureau is to publish, print and disseminate quality literary, educational, cultural and scientific literature and materials.

Directors

The Directors who served the entity during the year/period with effect from 1st April 2016 were as follows:

1.	Hon. Amb. Francis S. K. Bayah, EBS	- Chairman	- Appointed on 18th March 2016
2.	Mrs. Eve A. Obara, MBS		- Chief Executive Officer- Term extension on 1st April 2016 to 30th September 2016
3.	Mrs. Leah Rotich		- Alternate to Dr. Belio Kipsang, Principal Secretary, State Dept. of Education; Ministry of Education, Science and Technology – Re-appointed on 1st April 2016
4.	Ms. Cheryl Majiwa		- Alternate to Mr. Henry Rotich, Cabinet Secretary, The National Treasury Technology – Re-appointed on 1st April 2016
5.	Mr. Abdalla C. Bii		-Alternate to Dr. Moses K. Rugutt, Secretary, National Commission for Science, Technology & Innovation – Appointed 1st April 2016
6.	Mr. John K. Kenduiwo		- Representative, University of Nairobi – Appointed 1st April 2016
7.	Mr. Sammy M. Chepkwony	- Director	- Appointed on 1st April 2016
8.	Mr. Josephine Maangi	- Director	- Appointed on 1st April 2016
9.	Mrs. Elizabeth K. Mwongera	- Director	- Re-appointed on 1st April 2016
10.	Mr. Moses E. Lerosion	- Director	- Appointed on 17th December 2015
11.	Mrs. Charity Kathambi	- Director	- Appointed on 17th December 2015

The following Directors served the entity during the year/period up to 31st March 2016 when their terms expired:

1.	Mrs. Serah K. Ndege	- Chairman	- Appointed on 28th February 2013
2.	Mrs. Eve A. Obara, MBS	- Chief Executive Officer	- Re-appointed on 1st April 2013 up to 30th September 2016

3.	Mrs. Leah Rotich	- Alternate to Dr. Belio Kipsang, Principal Secretary, State Dept. of Education; Ministry of Education, Science and Technology	
4.	Ms. Cheryl Majiwa	- Alternate to Mr. Henry Rotich, Cabinet Secretary, The National Treasury	
5.	Mr. Vitalis O. Awour	-Alternate to Dr. Moses K. Rugutt, Secretary, National Commission for Science, Technology & Innovation	
6.	Prof. Jesse N. K. Mugambi, EBS	- Representative, University of Nairobi	
7.	Mr. Robert M. Mbato	- Director	- Re-appointed on 17th December 2012
8.	Mrs. Elizabeth K. Mwongera	- Director	- Appointed on 24th January 2013
9.	Mrs. Dorothy N. Opondo	- Director	- Appointed on 24th January2013

Corporate Secretary

Mr. Victor Lomaria **w.e.f 1st October 2016**
Mrs. Eve A. Obara, MBS up to 30th September 2016
P.O. Box 30022 - 00100,
NAIROBI.

Registered Office

Kenya Literature Building
Bellevue Area, South C
Popo Road, off Mombasa Road
P.O. Box 30022 – 00100,
NAIROBI, KENYA

Branch

Sales and Customer Service
P.O. Box 30022 – 00100,
KLB Building
Kijabe Street
NAIROBI, KENYA

Corporate Contacts

Telephone: (254) 6005595, 020-3541196/7
(254) 0711-318188, 0732-344599
E-mail: info.klb.co.ke
Website: www.klb.co.ke

Corporate Bankers

1. Kenya Commercial Bank Limited
   Kencom Building
   Moi Avenue
   P.O. Box 30081 - 00100
   NAIROBI, KENYA

2. National Bank of Kenya Limited
   National Bank Building
   Harambee Avenue
   P. O. Box 41862 – 00100
   NAIROBI, KENYA

Independent Auditors

Auditor General
Anniversary Towers, University Way
P.O. Box 30084 - 00100
NAIROBI, KENYA

Principal Legal Advisers

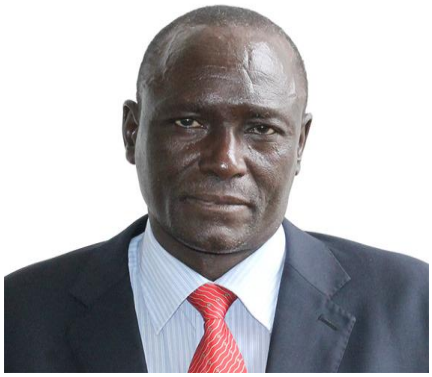
1. The Attorney General
   State Law Office
   Harambee Avenue
   P.O. Box 40112
   City Square 00200
   Nairobi, Kenya

THE BOARD OF MANAGEMENT

DIRECTOR'S NAME	KEY QUALIFICATIONS AND EXPERIENCE
1. Hon. Amb. Francis S. K. Bayah, EBS Chairman 	Hon. Amb. Francis S. K. Bayah, EBS is the Chairman of the Board of Management. He is aged 62 years. He is a holder of Bachelor of Education Science from University of Nairobi, Diploma on United Nations and International Understanding from the Institute of United Nations and UNESCO Studies, New Delhi – India, Post Graduate Certificate in Development Economics from University of Michigan. He is currently pursuing Master of Business Administration (Strategic Management) at Mt. Kenya University. He has extensive knowledge and work experience having worked as an Assistant Minister, Ministry of State for Immigration and Registration of Persons, High Commissioner to India, Permanent Secretary in the Ministry of Lands and Settlement and Ministry of Tourism and Information, Member of Parliament for Ganze Constituency. He also worked as a Provincial Commissioner in the former Coast, Western, Eastern and Rift Valley provinces, in addition to working as a District Commissioner within Nyanza and Rift Valley provinces. Mr. Bayah worked as District Officer in various districts in Kenya. He is a recipient of the Elder of Burning Spear (EBS). He was appointed to the position of Chairman of the Board of Management on 18th March 2016.
2. Victor Lomaria The current Managing Director and Secretary to the w.e.f. 1st October 2016 	Mr. Victor Lomaria is the current Managing Director appointed w.e.f 1st October 2016. He is aged 48 years. She is a holder of Master in Business Administration (Finance), Bachelor of Commerce, both from University of Nairobi. He is a Certified Public Accountant CPA (K). He is a member of Certified Public Accountants of Kenya (ICPAK) and Institute of Internal Auditors (IAA). He has attended various courses and seminars in risk management, leadership, corporate governance, ethics and integrity training, credit management, ICPAK annual seminars and risk based Information Technology audit. He has been a former Chairman of Operations Committee of the Association of Higher Education Financing Agencies (AHHEFA) which brought together, 10 African countries. He was appointed as the Managing Director on 1st October 2016.

3. Mrs. Eve A. Obara, MBS The former Managing Director and Secretary to the Board up to 30th September 2016 	Mrs. Obara is the Managing Director. She is aged 56 years. She is a holder of MSC (Business Administration) from University of Illinois at Urbana – Champaign, USA, Certificate in Personnel Management from Royal Institute of Public Administration, London, UK and B.A. (Sociology and Political Science), University of Nairobi. She has attended various courses and seminars in management, leadership, Corporate governance and strategy among many other both locally and internationally. She is a fellow member of the Institute of Human Resources Management and member of Marketing Society of Kenya. She has served as a member of the Kenya Publishers Association. She is a recipient of the Moran of the Burning Spear (MBS). She was re-appointed as the Managing Director on 1st April 2013. Her term was extended with effect from 1st April 2016 up to 30th September 2016.
4. Mrs. Leah Rotich Alternate Director to Dr. Belio Kipsang 	Mrs. Rotich represents the Ministry of Education, Science & Technology as stipulated under the Kenya Literature Bureau Act. She is the Alternate Director to Dr. Belio Kipsang, Principal Secretary, State Dept. of Education; Ministry of Education, Science and Technology
5. Ms. Cheryl A. Majiwa Alternate to Cabinet Secretary Mr. Henry Rotich 	Ms. Majiwa represents the Cabinet Secretary, The National Treasury in KLB's Board of Management as stipulated under the Kenya Literature Bureau Act. She is aged 37 years. She is a holder of Mater in Business Administration (Strategic Management) from the University of Nairobi, Bachelor of Commerce (Accounting and Finance) from Strathmore University, Certified Public Accountant (CPA-K) has attended other short-term courses for Senior Management and Corporate Governance. She currently works as an Investment Officer at the Department of Government Investment and Public Enterprises in the National Treasury. She previously worked as the Head of accounting Unit and administration of an advertising company. She is a member of the Institute of Certified Public Accountants of Kenya (ICPAK) and the Secretariat of the Public Accounting Standards Board (PASB). She was appointed as an alternate Board member on 1st April 2016.

6. Mr. Abdalla C. Bii Alternate to Dr. Moses K. Rugutt 	He represents the National Commission for Science, Technology and Innovation in the Board as stipulated under the Kenya Literature Bureau Act. He is the Alternate to Dr. Moses K. Rugutt, Secretary, National Commission for Science, Technology & Innovation He is a member of the Finance Committee of the Board.
7. Mr. John Kenduiwo Representative, University of Nairobi 	Mr. John Kenduiwo represents the University of Nairobi in the Board under the Kenya Literature Bureau Act. He is aged 50 years. He is a holder of Master of Business Administration (MBA) in Operations Management and a Bachelor of Science (BSc) degree in Mechanical Engineering from University of Nairobi. He is currently the Acting Managing Director, University of Nairobi Enterprises and Services (UNES). He has previously worked as Deputy Managing Director and a Senior Lecturer at Department of Management Science. He has lectured in the following areas; Production/Operations Management & Strategy Research and Business Modelling. Mr. Kenduiwo has worked as Dean, School of Business, University of Nairobi and was one of the pioneers of the Module II. He has been the Chairman, Department of Management Science and has various leadership positions in both private and public sector. He is a member of the Finance Committee of the Board.
8. Mrs. Josephine Maangi Independent Director 	Mrs. Josephine Maangi is an independent director. She is aged 53 years. She is a holder of Global Executive Masters in Business Administration (MBA) from the United States International University, Bachelor of Laws from University of Nairobi, and Diploma in Laws from Kenya School of law. She is an advocate of the High Court of Kenya, a Commissioner for Oaths and a Notary Public. She is currently a partner in Maangi & Associates Advocates. She is the Chairman for Finance Committee of the Board.

9. Mr. Sammy M. Chekwony Independent Director 	Mr. Sammy Chepkwony is an independent director. He is aged 56 years. He is a holder of Bachelor of Business Management (BBM) in Microenterprise from Moi University and a Diploma in Cooperative Management from Cooperative College of Kenya. He has worked as an Assistant Cooperative Officer under the Ministry of Cooperative Development and as a Field Officer in charge of Informal Sector loans at Kenya Industrial Estates Limited. He has also worked as a District Officer under the Office of the President. He has held several leadership positions in both private and public sector. He is the Chairman of the Audit and Risk Management Committee of the Board.
10.Mrs. Elizabeth K. Mwongera Independent Director 	Mrs Elizabeth Mwongera is an independent director. She is aged 64 years. She is a holder of a Bachelor of Education degree from the University of Nairobi and a Masters of Education Degree from University of Manchester with a bias in English. She has a Certificate in Training from the Institute of Personnel Management, UK, Diploma in Human Resource Management (ABE), MA (Counselling Psychology) at Daystar University, Examiner (KNEC) Team Leader, co-authored English Language series for secondary schools. She has been a graduate teacher, Inspector of Schools and Chief Human Development Officer at Kenyatta National Hospital. She is the chair of the Staff & General Purpose Committee of the Board.
11.Mrs. Charity Kathambi Chepkwony Independent Director 	Ms Charity K. Chepkwony is an independent director. She is aged 39 years. She is a holder of Bachelor of Business Administration degree from Kenya Methodist University, Certificate in County Governance from Jomo Kenya University of Agriculture and Technology. She also holds a Diploma in Sales & Marketing from University of Nairobi, Diploma in Clearing, Forwarding and Shipping from Kenya Institute of Clearing, Forwarding, Shipping and Documentation. She has worked in Consolidated Bank, Bandari Sacco (KPA) and Signon Freight Limited. She has held various leadership positions in the private sector. She is a member of the Finance Committee of the Board.

12. Mr. Moses Edwin Lerosion Independent Director 	Mr. Moses Lerosion is an independent director. He is aged 38 years. He is a holder of Bachelor of Arts in Philosophy. He is a member of the Staff and general purposes Committee of the Board.

THE SENIOR MANAGEMENT TEAM

MANAGER'S NAME	KEY QUALIFICATIONS AND EXPERIENCE
1. Victor Lomaria The current Managing Director and the Secretary to the Board w.e.f. 1st October 2016 	Mr. Victor Lomaria is the current Managing Director appointed w.e.f 1st October 2016. He is aged 48 years. He is a holder of Master in Business Administration (Finance), Bachelor of Commerce, both from University of Nairobi. He is a Certified Public Accountant CPA (K). He is a member of Certified Public Accountants of Kenya (ICPAK) and Institute of Internal Auditors (IAA). He has attended various courses and seminars in risk management, leadership, corporate governance, ethics and integrity training, credit management, ICPAK annual seminars and risk based Information Technology audit. He has been a former Chairman of Operations Committee of the Association of Higher Education Financing Agencies (AHHEFA) which brought together, 10 African countries. He was appointed as the Managing Director on 1st October 2016.
2. Mrs. Eve A. Obara, MBS The former Managing Director and the Secretary to the Board up to 30th September 2016 	Mrs. Obara is the Managing Director. She is aged 56 years. She is a holder of MSC (Business Administration) from University of Illinois at Urbana – Champaign, USA, Certificate in Personnel Management from Royal Institute of Public Administration, London, UK and B.A. (Sociology and Political Science), University of Nairobi. She has attended various courses and seminars in management, leadership, Corporate governance and strategy among many other both locally and internationally. She is a fellow member of the Institute of Human Resources Management and member of Marketing Society of Kenya. She has served as a member of the Kenya Publishers Association. She is a recipient of the Moran of the Burning Spear (MBS). She was re-appointed as the Managing Director on 1st April 2013.

3. Mrs. Mary N. Khasiani, MBS Publishing Manager 	Mrs. Mary N. Khasiani is aged 59 years. She is a holder of Masters in Publishing Studies, University of Stirling, UK, Bachelor of Education, and University of Nairobi. She has attended several workshops and seminars in Management, Copyright Law, Financial Aspects of Publishing, and Publishing Law among several others. Mrs. Khasiani has over 30 years' experience in various capacities in the publishing field. She previously worked as a secondary school teacher for English and Religious Studies, at Kerugoya Boys Secondary School and as Ag. Chief Editor Jomo Kenyatta Foundation (1991 – 1992). She has worked with the Bureau as a Senior Editor and Chief Editor. She is a member of Kenya Institute of Curriculum Development, Textbooks Technical Committee, Early Childhood Education Course Panel, Member, Council for Promotion of Children's Science Publication in Africa, Member African Association of Science Editors among others. She is a recipient of the Moran of the Burning Spear (MBS). She is the chairperson of Kenya Literature Bureau Pension Scheme. She was appointed as the Publishing Manager on 1st July 2002 until retirement on 22nd July 2016.
4. Mr. Francis M. Mutunga Finance Manager 	Mr. Francis Mutunga is aged 41 years. He is a holder of Bachelor of Commerce (Accounting), First Class Honours from Kenyatta University, Certified Public Accountant CPA (K), Certified Investment and Financial Analyst (CIFA-K), and Diploma in Marketing Management from Kenya Institute of Management. He is a member of Certified Public Accountants of Kenya (ICPAK) and Institute of Certified Investments and Financial Analysts (ICIFA) and a Certified Pension Trustee from College of Insurance/Retirement Benefits Authority and is a Certified ISO Auditor by Kenya Bureau of Standards. He is also the Performance Contract Co-ordinator. He is currently pursuing Master of Business Administration (Finance) at Kenyatta University. He was appointed to the position of Finance Manager on 1st May 2014.

5. Mr. Bernard O. Obura Sales & Marketing Manager 	Mr. Bernard Obura is aged 42 years. He is a holder of an Executive MBA from Jomo Kenyatta University of Agriculture and Technology, Bachelor of Arts Degree from the University of Nairobi, Diploma in Marketing (MSK - Kenya). He is a Council Member of the Marketing Society of Kenya. He was appointed to the position of Sales and Marketing Manager on 1st August 2009.
6. Mr. Evans T. Nyachieng'a Corporate Affairs Manager (Business development) 	Mr. Nyachieng'a aged 50 years. He holds a Bachelor of Arts Degree from University of Nairobi and a Masters of Business Administration (Strategic Management) from Kenyatta University and a Higher Diploma in Human Resources Management (KNEC) from Railway Training Institute. He is a member of Institute of Human Resources Management. He was appointed to the position of Corporate Affairs Manager on 1st August 2014.
7. Mr. Job M. Idaki Corporate Services Manager 	Mr. Job Idaki, aged 50 years. He is a holder of a Bachelor of Education (Language and Literature) from Kenyatta University, Higher Diploma in Human Resources Management (KNEC) from Railway Training Institute. He is a certified ISO 9001:2008 series Lead Auditor. He was appointed to the position of Corporate Services Manager on 1st August 2014.

8. Mr. Joseph A. Emojong Production Manager 	He is 43 years. He is a holder of Bsc (Hons) Degree in Graphic Media Studies (GMS) – Hertfordshire University UK and Diploma in Printing Technology – The Kenya Polytechnic (currently Technical university of Kenya). He was appointed to the position of Production Manager on 17th December 2015.
9. Mrs. Roselyn W. Mugavana Human Resources Manager 	Mrs. Roselyn Mugavana is aged 45 years. She is a holder of Master of Business Administration (Human Resource Management) from Nairobi University, Bachelor of Education (English and Literature) from Egerton University and Diploma in Business management (Human Resource Management) from Kenya Institute of Management. She was appointed to the position of the Human Resources manager on 17th December 2015.
10. Mr. Julius K. Aritho Internal Audit Manager 	Mr. Julius Aritho is aged 50 years. He is a holder of Master of Business Administration (MBA) Accounting Option from University of Nairobi, Bachelor of Commerce (Accounting Option) from University of Nairobi. He is a Certified Public Accountant (CPA (K) and a member of the Institute of Certified Public Accountants of Kenya. He is the Quality Management Representative at Kenya Literature Bureau in charge of ISO. He was appointed to the position of Internal Audit Manager on 1st August 2013.
11. Isaac K. Korir Customer Service Manager 	Mr. Korir is aged 56 years. He is a holder of a Bachelor of Education (Science) University of Nairobi. He was appointed to the position of Customer Service Manager on 1st February 2014.

12. Philip K. Cheruiyot Supply Chain Manager 	Mr. Philp Cheruiyot is aged 45 years. He is a holder of Master of Science degree from University of Salford (UK) and Bachelor of Business Administration from University of Eastern Africa Baraton. He is a member of Chartered institute of Purchasing and Supply (UK) and a member of the Kenya Institute of Supplies Management. He was appointed to the position of Supply Chain Manager on 2nd November 2007.
13. Jackson Musau Quality Assurance Manager 	Mr. Jackson Musau is aged 46 years. He is a holder of master of Business Administration (Operations Management) from University of Nairobi, Post graduate Diploma in Education from Kenyatta University and Bachelor of Science Degree from Jomo Kenyatta University of Agiculture and Technology. He was appointed as the Quality Assurance Manager on 4th September 2009.
14.Bernard O. Milewa Legal Services Manager 	Mr. Bernard Milewa is aged 37 years. He is an advocate of the High Court of Kenya, a holder of Masters of Business Administration (Strategic Management), Post Graduate Diploma in Law from Kenya School of Law, Bachelor of Laws Degree from Moi University. He also holds Certified Public Accountants (CPA) and Certified Secretaries (CS) qualification. He is a member of the Law Society of Kenya and Chartered Institute of Arbitrators. He is a Commissioner of Oaths and Notary Public. He was appointed to the position of Legal Services Manager on 1st November 2013.

STATEMENT FROM THE CHAIRMAN

I am pleased to present, on behalf of the Board of Management the Annual Report and Financial Statements for the year ended 30 June 2016. The period proved to one of growth and sustainability for Kenya Literature Bureau (KLB) despite the various challenges experienced within the national economy. The Bureau was able to return a solid financial performance and maintain a favourable financial position.

OPERATING ENVIRONMENT

During the year under review World real Gross Domestic Product (GDP) growth decelerated to 3.1% in 2015 from 3.4% in 2014. Africa's economic growth remained resilient in 2015 amid a weak global economy, lower commodity prices and adverse weather conditions in some parts of the continent. The Real GDP grew by 3.6% in 2015, higher than the global average of 3.1% and more than double in the Euro area. At this growth rate, Africa remained the second fastest growing economy in the world (after emerging Asia) and several African countries were among the world's fastest growing countries.

The Kenya economy maintained its growth momentum to achieve a Gross Domestic Product growth rate of 5.6% in 2015 as compared to 5.3% achieved in 2014. The expansion was as a result of significant growth in key sectors among them agriculture; construction; real estate; and financial and insurance. The government put in place measures to improve security and boost the earnings from tourism.

Key macroeconomic indicators remained relatively stable during the period, with the overall inflation easing from 6.9% in 2014 to 6.6% in 2015 due to lower energy and transport prices. The current account deficit as a percentage of GDP narrowed from 14.5% in 2014 to 11.4% in 2015, resulting from a substantial growth in exports of goods and services and a reduction in the import bill. The Kenyan Shilling depreciated against its trading currencies during the review period but appreciated against the Euro, South Africa Rand and the Japanese Yen respectively. The local currency has remained strong even after the Brexit (exit of the United Kingdom from the European Union).

The manufacturing sector's real output grew by 3.5% in 2015 compared to the slower growth of 3.2% in 2014. This was attributed to reduced production costs arising from lower cost of petroleum and electricity inputs. Producer price Index (PPI) increased by 3.91% in 2015 compared to an increase of 3.03% in 2014, mainly due to the high cost of imported raw materials arising from the depreciation of the Kenyan Shilling against the major currencies.

The publishing industry continued to face challenges including book piracy and introduction of Value Added Tax (VAT) on books which negatively affected the purchasing power of consumers. The impeding curriculum review is expected to contribute to slowdown in sales as book sellers work towards avoiding the risk of dead stock. Further, proposed policy on centralised purchases of textbooks will have an impact of the sub-sector.

STRATEGIC POSITIONING

The Bureau successfully completed the implementation of the exiting Strategic Plan 2010-2015 and developed the new Strategic Plan 2016 – 2020 which commenced implementation in 2016. The Bureau continued to double its efforts and focus on new areas of the strategic plan. Our diversification strategy into the digital content development, offering printing solutions for institutions and more so the County Governments has continued to yield favourable results. The Bureau has been printing for government ministries, departments and agencies; and private institutions and individuals. Our key strength remains in the state of art technology with the continued and sustained modernization of the printing press, competent personnel who strive to meet and exceed stakeholder expectations. Our existing and new mutual partnerships with various stakeholders such as World Reader/ Amazon, Mapstudio South Africa, e-Kitabu, Kytabu for sale and distribution of various educational products continue to achieve the projected objectives.

It is during this year that the Bureau partnered with author Mrs. Mumbi Madoka to publish and print the book titled *Miss Uhuru 1963* which launched by His Excellency the President of the Republic of Kenya Hon. Uhuru Kenyatta, CGH in a colourful ceremony held in the Bureau on 30th May 2016. This show cased the Bureau's mandate of promotion of local authorship and maximisation of the shareholder's value.

OVERVIEW OF FINANCIAL RESULTS

The profit before taxation was Kshs. 222.62 million in 2016 compared to Kshs. 176.32 million in 2015 representing an increase of 26.09%. Gross revenue grew by a massive 16.52% to reach to Kshs. 2.05 billion up from Kshs. 1.76 billion in 2015. The gross turnover growth was driven by increased book sales demand in the primary and secondary segment due to increased funding on free education (capitation) by the Government. The Bureau continues to grow the e-book content titles, taking advantage of the digital revolution and the increased demand of the digital literacy materials.

FORWARD LOOKING

The World economy is projected to grow at 3.4% in 2016 and 6.3% in 2017, with a gradual pick up in advanced economies and accelerated growth in emerging market and developing economies. Oil prices have continued to decline from September 2015. Futures markets are currently suggesting only modest increases in prices in 2016 and 2017.

Africa's economic growth rate is expected to average at 3.7% in 2016 and 4.5% in 2017 hinged on the strengthening of the world economy and a gradual recovery in commodity prices.

Kenya's economy is expected to grow at 6.0% in 2016 and 6.4% in 2017, with expansion expected from construction, manufacturing, finance and insurance, information, communications and technology, and

wholesale and retail trade. The major infrastructural projects such as the construction of the Standard gauge railway (expected to be completed by June 2017), additional electricity generation projects, food security irrigation projects, improvement of security infrastructure, roads construction, and expansion of airports among others being rolled out are expected to boost the expansion in Gross Domestic Product (GDP). The Consumer Price Index (CPI) is expected to remain with the single target digit. We therefore envisage a conducive operating environment even though the uncertainty related to the Curriculum review and its implementation may lead to slowed down sales.

During the financial year, the Bureau embarked on the implementation of the third cycle Strategic Plan 2016 – 2020 whose main focus is on growth and sustainability. It targets to attain the balance score card objectives of financial performance, customer focus, learning and growth and internal business processes. This will solidify the growth achieved through the previous two strategic plans.

DIVIDENDS

The Bureau, being a commercial state corporation continues to prove to be a worthy investment for the Government whose return on investment has averaged over 10% for several years. The Bureau has continued to pay increased dividends to the Government of Kenya since the 2006/07 financial year. The dividends are declared based on the policy of ten (10) percent of the after tax net profits. KLB paid dividends amounting to Kshs. 13.42 million for the year ended 30th June 2015 up from Kshs. 10.68 million for the year ended 30th June 2014. In the period under review, KLB has made provisions for dividend pay-out of Kshs.15.16 million for the year ended 30th June 2016, representing a 10% growth from the previous year.

BOARD CHANGES

During the year the Ministry of Education effected changes to the Board of Management after the expiry of the term of the former Board. The current Board was inaugurated on 1st April 2016.

APPRECIATION

I sincerely wish to appreciate the Government of Kenya, through our parent ministry, the Ministry of Education, Science and Technology and our development and business partners for their support and contribution to our business growth and success. I take this opportunity to appreciate and congratulate my fellow former and current directors, the management, staff for the exemplary performance during the year under review.



Hon. Amb. Francis S. K. Bayah
CHAIRMAN

REPORT OF THE CHIEF EXECUTIVE OFFICER

INTRODUCTION

The Bureau has registered remarkable growth in turnover, profitability and sustainability. The Bureau has maintained a strong drive for results across all the segments of the market. The two previous strategic plans have laid a solid foundation for growth and sustainability in future. The prospects for increased turnover and market share are being realised.

The Bureau continues to improve the staff competence, motivation, attraction and retention through investment in human capital development, besides improvement of the terms and conditions for employees. This is evidenced by the continued high staff morale and commitment towards excellent performance and increased productivity.

PERFORMANCE REVIEW

The Bureau has proved to be on a sustainable business growth path with strong financial performance and financial position. The implementation of the third cycle Strategic Plan 2016 -2020 has taken of well and provided potential for increased growth. The exiting Revised Strategic Plan 2010 – 2015, which come to an end in 2015 was implemented successfully. The profit before taxation was Kshs. 222.62 million in 2016 compared to Kshs. 176.32 million in 2015 representing an increase of 26.09%.

Gross revenue grew by a massive 16.52% to reach to Kshs. 2.05 billion up from Kshs. 1.76 billion in 2015. The gross turnover growth was driven by increased book sales demand in the primary and secondary segment due to increased funding on free education (capitation) by the Government. The Bureau continues to grow the e-book content titles, taking advantage of the digital revolution and the increased demand of the digital literacy materials.

Total operating expenses grew by 18% from Kshs. 937.72 million to Kshs. 1.11 billion, driven mainly by the following:

- Administration costs due to increased level of production activity.
- Selling and distribution costs increased due to the increased trade discount allowed based on the sales volume and also the marketing costs to push additional sales demand.
- Staff costs increased due to increased investment in talent and compensation improvement to promote business sustainability.

The Bureau's financial position has continued to be strong with favourable liquidity ratios. The Bureau finances all its operations and capital investments from internally generated finances and has no borrowings. These results further demonstrate the sound financial leadership, prudence and effective strategies that the Bureau utilizes to stay economically viable and contribute to the country's economic growth.

STRATEGIC PLAN 2016-2020 IMPLEMENTATION

During the year under review, the Bureau implemented the following strategic objectives;

1. **To be the Industry's Market leader** – The turnover has grown by 16.52% from Kshs. 1.76 billion in 2015 to Kshs. 2.05 billion in 2016. This was achieved through the aggressive marketing strategies and development of new markets with new product offering while servicing the current markets with improved products and services. The Bureau continued with collaboration in partnerships such as the contract with the continuation of partnerships with digital providers/platforms such as Amazon.com /World Reader, e-Kitabu and kytabu to make available online content for sale of our books also boosted revenue.

2. **To improve on quality of products and services** - This was achieved by undertaking the annual research and development to determine the needs, tastes and preferences of the consumers and used the feedback to develop improved products and services. The continued compliance with the International Standardization Organization (ISO) 9001:2008 Quality Management System provides an assurance system for the quality of our products and services for our customers. The Bureau has formulated a plan for transition from the ISO 9001: 2008 to ISO 9001: 2015 to be implemented in 2016/2017.

3. **To upgrade Corporate Infrastructure** – The Bureau continued with increasing capital investment aimed at improving the publishing and printing systems. Acquisition of plant and machinery, ICT equipment, motor vehicles and the full implementation of the automated systems such as Accpac financial system and the Human Resources Management Information System has led to improvement of the Bureau's technology infrastructure.

4. **To strengthening institutional capacity** – The Bureau achieved much progress geared to enhance the institutional capacity to serve the increased needs and demands of our valued customers. The Bureau continues to invest in human capital investment to ensure that we attract and retain competent and skilled employees. This has resulted in improved productivity levels.

   The Bureau continued to develop and implement effective human resources plans and policies. Of particular mention is the improvement of the terms and conditions of service for its employees with the approval of Salaries and Remuneration Commission. The Bureau continued to enjoy cordial relations with the Union organization and signed the Collective Bargaining Agreement 2015 – 2017 whose implementation commenced in the year under review. This has ensured that the Bureau has highly motivated staff and harmonious industrial relations. The Bureau working together with Salaries and Remuneration Commission has carried out the job evaluation and whose results are being finalized.

5. **To ensure effective corporate governance, controls and sound resource management** – The Bureau undertakes a review of risk factors and develops mitigation plan on an annual basis. The Bureau ensured continued compliance with the legal and regulatory framework established

by the Government as the shareholder in order to promote sustainable business practices. The Bureau reviewed various legal instruments and policies in line with the various Acts of Parliament including the Value Added Tax Act 2013, Leadership and Integrity Act 2012, Public Financial Management 2012. Further, the Board usually meets for a minimum of four (4) quarterly meeting in a year. The Board of Management works through committees that include the Audit, Finance and General Purpose and Staff and General Purpose.

BUSINESS REVIEW

The Bureau being a commercial state corporation continues to compete with private publishers in the liberalised publishing industry. For it to remain viable, the Bureau must develop and implement strategies and measures that will provide a competitive edge and comparative advantage. The Bureau continued to grow its product portfolio in different segments. The publishing and printing of books for the Rwandan market during the year under review was a major step in growing market share in region. The purchase of the books by the Rwanda Education Board (REB) gives credence to the low risk foreign market entry. Efforts continue to be stepped up in the Uganda market.

A wide range of products has been developed for the Early Childhood Development Education, Mother tongue titles, primary, secondary, tertiary and general books segment. The publishing of books for the ECDE Diploma colleges underlines focus of the Bureau to fulfil customers' needs. The digital content titles developed for Standard one add to the growing list of e-books that the Bureau has developed.

As one of the leading publisher and printer in the East Africa Community region, the Bureau has embarked on the aggressive marketing of the printing services to both public and private institutions. A major achievement has been the soliciting of printing orders for County Governments. The Bureau has also been actively printing for other public institutions and agencies.

The Bureau continued to implement the Government policy to award 30% tenders to youth, women and persons with disabilities, in addition to enhancing gender and disability mainstreaming.

PERFORMANCE CONTRACT AND ISO CERTIFICATION

KLB entered into a negotiated performance contract for 2015/2016 (12th Edition) with the Government by setting targets in line with Strategic plan 2016 - 2020, Second Medium Term Plan 2013 – 2018 and the Approved budget 2015/2016. The Bureau has maintained favourable performance by achieving all the set targets for the year under review. This was as a result of the commitment of KLB's Board, Management and staff to continually improve performance and increase productivity. The Bureau has continued to embrace the best practices by committing to the ISO 9001:2008 Quality Management System and improving processes and systems. The Bureau was recertified for the second time in October 2013 and is due for the third re-certification in October 2016 under the new ISO 9001:2015.

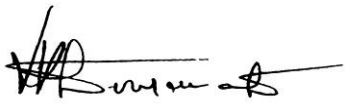
DIVIDENDS

The Bureau, being a commercial state corporation continues to prove to be a worthy investment for the Government whose return on investment has averaged over 10% for several years. The Bureau has continued to pay increased dividends to the Government of Kenya since the 2006/07 financial year. The dividends are declared based on the policy of ten (10) percent of the after tax net profits. KLB paid dividends amounting to Kshs. 13.42 million for the year ended 30th June 2015 up from Kshs. 10.68 million for the year ended 30th June 2014. In the period under review, KLB has made provisions for dividend pay-out of Kshs.15.16 million for the year ended 30th June 2016, representing a 10% growth from the previous year.

APPRECIATION

I take this opportunity to thank the Government of Kenya, through our parent ministry, the Ministry of Education, Science and Technology whose valued support have seen us rise to the top; the current and former Board of Management who have continuously provided the much needed strategic direction and leadership; the management and staff whose commitment has resulted in the impressive performance and our stakeholder and business partners including our customers for their continuous support and contribution to business growth. The concerted efforts and commitment have heralded a legacy of sustainable growth and profitability which is commendable.

Thank You and God Bless You All.



Mr. Victor K. Lomaria
MANAGING DIRECTOR

STATEMENT ON CORPORATE GOVERNANCE

The Board of management notes that adherence to good corporate governance practises is key to sustainable growth and management of an organization and in generating shareholder value and stakeholder satisfaction. The Board commits and implements effective governance through processes and policies intertwined with the core values and ethics as espoused in the Code of Ethics which was revised based on the Leadership and Integrity Act 2012. Corporate governance is a key element contributing to Kenya Literature Bureau's sustainable business success and is highly regarded at the Bureau. The Mwongozo Code of Governance which is now the corporate governance blue print for State Corporations is in the process of being implemented. The Bureau has been implementing these governance principles on continuous basis.

THE BOARD OF MANAGEMENT

During the financial year under review the Bureau was served by two Boards of Management due to the expiry of the contract for the former Board and the appointment of a new one with effect from 1st April 2016. Two members of the new Board were appointed with effect from 17th December 2015 to replace those whose terms had already ended.

The Board of Management is responsible for providing overall leadership through oversight, review and guidance in addition to setting the strategic and policy direction. It is the primary decision making organ for all policy matters of the Bureau. The Board is endowed with the appropriate mix of skills, knowledge and experience to perform its duties effectively. The areas of expertise of the directors, who served for the financial year up to 31st March 2016, are as below:

CURRENT BOARD OF MANAGEMENT

The areas of expertise of the directors, who served for the financial year from 1st April 2016 up to the end of the year, are as follow:

Name	Area of expertise
1. Hon. Amb. Francis S. K. Baya, EBS	- Administration and Education
2. Mr. Victor Lomaria (w.e.f 1.10.16)	- Accounting, Investment and Financial Management
3. Mrs. Eve A. Obara, MBS	- Human Resource Management and Business Administration
4. Mrs. Leah Rotich	- Administration and Education
5. Ms. Cheryl Majiwa	- Accounting, Investment and Financial Management
6. Mr. Abdalla C. Bii	- Legal Practitioner
7. Mr. John K. Kenduiwo	- Academia, Mechanical engineering, Strategic and Operations Management
8. Mr. Sammy M. Chepkwony	- Business Administration, Entrepreneurship, Co-operative

		Management and Administration
9.	Mr. Josephine Maangi	- Legal Practitioner, Business Administration
10.	Mrs. Elizabeth K. Mwongera	- Education and Human Resources Management
11.	Mr. Moses E. Lerosion	- Administration and Management
12.	Mrs. Charity Kathambi	- Business Management, Sales and Marketing, Clearing and Forwarding and County Government Administration

Mr. Francis M. Mutunga* - Finance Manger
Mr. Bernard O. Milewa* - Legal Services Manager

*Usually in-attendance

FORMER BOARD OF MANAGEMENT

Name	Area of expertise
1. Mrs. Serah K. Ndege	- Administration and Education
2. Mrs. Eve A. Obara(up to 30.09.16)	- Human Resource Management and Business Administration
3. Mrs. Leah Rotich	- Administration and Education
4. Ms. Cheryl Majiwa	- Accounting, Investment and Financial Management
5. Mr. Vitalis O. Awuor	- Meteorology and Water resources engineering
6. Prof. Jesse N. K. Mugambi	- Education, Communication policy and planning and philosophy and Religious Studies
7. Mr. Robert M. Mbato	- Administration and Education
8. Mrs. Elizabeth K. Mwongera	- Education and Human Resources Management
9. Mrs. Dorothy N. Opondo	- Human Resources Management and Business Administration

Mr. Francis M. Mutunga* - Finance Manger
Mr. Bernard O. Milewa* - Legal Services Manager

*Usually in-attendance

The Board continues to offer oversight and review matters related to their duties including the Bureau's strategy, financial performance, corporate governance, ensuring the maintenance of sound internal control system and risk management framework, delegation and monitoring of the authority for expenditure and commitments.

BOARD COMPOSITION

The former Board had nine (9) members; the Chairman, three (3) independent directors and four (4) directors representing various governmental agencies as per the Kenya Literature Bureau Act Cap 209 of 1980 (Revised 2012) and the Managing Director. Mrs. Serah K. Ndege was appointed

Chairman on 28th February 2013. Mrs. Elizabeth K. Mwongera and Mrs. Dorothy N. Opondo joined the Board in 24th January 2013. The gender parity status between the female and male was 67% to 33%, hence indicated that the Bureau met the 30% gender equity threshold.

The current comprises eleven (11) members; the Chairman, five (5) independent directors and four (4) directors representing various governmental agencies as per the Kenya Literature Bureau Act Cap 209 of 1980 (Revised 2012) and the Managing Director. One additional director representing the Ministry of Labour and Social Security proceeded on terminal leave before taking up the appointment. The gender parity status between the female and male was 50% to 50%, which is well above the 30% gender equity threshold.

ROLE OF THE CHAIRMAN AND CHIEF EXECUTIVE OFFICER

The separate roles of the Chairman and the Chief Executive Officer are clearly defined in the Mwongozo Code of Governance for State Parastatals and the Board Charter which was approved by the Board. Except for the strategic direction and general policy guidance, the Board has delegated the conduct of the day-to-day business to the Chief Executive Officer.

SUCCESSION PLANNING

The Bureau has an established succession plan geared to ensuring continuation of business operations at all levels of the Board and Management. The terms of the members of the Board of Management are scheduled to end at different times.

BOARD EVALUATION AND PERFORMANCE

The Board conducts an annual evaluation to assess its effectiveness in discharging its mandate. The process entails a self-evaluation for each director, evaluation of the Chairman to the Board on the overall Board interactions and conduct of business meetings and evaluation of the Chief Executive Officer. The Bureau has an e-Board automated platform for conducting Board meetings and also Board evaluations where results are reported and analysed on a real-time basis.

BOARD MEETINGS AND ATTENDANCE

The Full Board meets on a quarterly basis and has a formal schedule of matters to be discussed. The directors receive appropriate and timely reports to facilitate informed deliberations and decision making. The Board promotes an environment of innovative thinking, consultation, cordial relations, information sharing, and openness in communication. The Board has an opportunity to meet with all the staff in December annually.

BOARD COMMITTEES

The Board has three standing committees with specific delegated authorities and terms of reference. These are Board Audit and Risk Management Committee, the Board Finance Committee and Staff and General Purpose Committee. The Board Committees meet at least on quarterly basis. The respective Committee Chairmen present their reports to the full Board at the quarterly meetings. The details of these committees and membership for the former Board of Management are highlighted below;

1.0 BOARD AUDIT AND RISK MANAGEMENT COMMITTEE

1.1 MEMBERSHIP

FORMER BOARD

Members

Prof. Jesse N. K. Mugambi	- Chairman
Robert M. Mbato	
Elizabeth K. Mwongera	
Ms. Cheryl A. Majiwa	
Eve A. Obara	- Managing Director
Julius K. Aritho*	- Internal Audit Manager
Bernard O. Milewa*	- Legal Services Manager

*In-attendance

CURRENT BOARD

Members

Sammy M. Chepkwony	- Chairman
Moses Lerosion	
Ms. Cheryl A. Majiwa	
Eve A. Obara	- Managing Director
Julius K. Aritho*	- Internal Audit Manager
Bernard O. Milewa*	- Legal Services Manager

*In-attendance

ROLE AND FUNCTION

The Audit and Risk Management Committee is responsible for continually evaluating the effectiveness of the internal control system and receives reports from the Internal Audit function on a quarterly basis. It reviews aspects relevant to governance, internal control procedures, risk management and internal audit. It also reviews external auditor's reports and management responses. The Internal Audit function reports directly to the full Board through the Audit and Risk Management Committee.

1.2 ATTENDANCE

FORMER BOARD

Number of meetings scheduled for 2015/2016 **2**

Prof. Jesse N. K. Mugambi - Chairman	2/2
Robert M. Mbato	2/2
Elizabeth K. Mwongera	2/2
Ms. Cheryl A. Majiwa	2/2
Eve A. Obara - Managing Director	2/2

CURRENT BOARD

Number of meetings scheduled for 2015/2016 **1**

Sammy M. Chepkwony - Chairman	1/1
Moses Lerosion	1/1
Ms. Cheryl A. Majiwa	1/1
Eve A. Obara - Managing Director	1/1

2.0 BOARD FINANCE AND GENERAL PURPOSE COMMITTEE

2.1 MEMBERSHIP

FORMER BOARD

Members

Robert Mbato - Chairman
Dorothy N. Opondo
Vitalis O. Awuor
Elizabeth Mwongera

Leah Rotich
Ms. Cheryl A. Majiwa
Eve A. Obara - Managing Director
Francis M. Mutunga* - Finance Manger
Bernard O. Milewa* - Legal Services Manager

*In-attendance

CURRENT BOARD

Members

Josephine Maangi - Chairman
John Kenduiwo
Leah Rotich
Cheryl A. Majiwa
Charity K. Chepkwony
Eve A. Obara - Managing Director
Francis M. Mutunga* - Finance Manger
Bernard O. Milewa* - Legal Services Manager

*In-attendance

ROLE AND FUNCTION

The Finance and General Purpose Committee plays a vital role in assuring the integrity of the financial statements before they are reviewed and approved by the full Board. It reviews and recommends for approval the quarterly and annual accounts. It also undertakes the monitoring and evaluation of the implementation of strategies, policies, management performance criteria and business plans on a regular basis; ensuring that adequate resources are employed to realize the goals and objectives of the Bureau. It is also charged with the role of considering the Bureau's annual and supplementary budgets and recommending them to the Board for approval. The committee assesses the adequacy and effectiveness of the internal controls and financial management procedures and overall compliance with financial regulations.

2.2 ATTENDANCE

FORMER BOARD

Number of meetings scheduled for 2015/2016 **2**

Robert Mbato - Chairman	2/2
Dorothy N. Opondo	2/2
Cheryl A. Majiwa	1/2
Vitalis O. Awuor	2/2
Leah Rotich	2/2
Elizabeth Mwongera	2/2
Eve A. Obara - Managing Director	2/2

CURRENT BOARD

Number of meetings scheduled for 2015/2016 **1**

Josephine Maangi - Chairman	1/1
Leah Rotich	1/1
Cheryl A. Majiwa	0/1
John Kenduiwo	1/1
Charity K. Chepkwony	1/1
Eve A. Obara - Managing Director	1/1

3.0 BOARD STAFF & GENERAL PURPOSE COMMITTEE

3.1 MEMBERSHIP

FORMER BOARD

Members

Dorothy N. Opondo - Chairman
Prof. Jesse N. K Mugambi
Leah Rotich
Elizabeth Mwongera
Eve A. Obara - Managing Director
Roselyn Mugavana* - Ag. Human Resources Manager
Bernard O. Milewa* - Legal Services Manager

*In-attendance

CURRENT BOARD

Members

Elizabeth Mwongera - Chairman
Leah Rotich
Moses Lerosion
Eve A. Obara - Managing Director
Roselyn Mugavana* - Human Resources Manager
Bernard O. Milewa* - Legal Services Manager

*In-attendance
***** Roselyn Mugavana was appointed the Human Resources Manager on 17th December 2015

ROLE AND FUNCTION

The committee is responsible for matters concerning the human capital that includes, consideration of terms and conditions of service, organizational structure, employee remuneration, appointment of employee at management level and above, handling management staff disciplinary cases, preparing the employees in the Bureau for the desired changes in working styles, attitudes and ethics among others.

3.2 ATTENDANCE

FORMER BOARD

Number of meetings scheduled for 2015/2016 **3**

Dorothy Opondo - Chairman	3/3
Leah Rotich* represented by Margaret Murage once	3/3
J. N. K. Mugambi	3/3
Elizabeth Mwongera	3/3
Eve A. Obara - Managing Director	3/3

CURRENT BOARD

Following the appointment of a new Board of Management on 1st April 2016, no meetings were held for the Staff and General Purpose Committee.

FULL BOARD MEETING ATTENDANCE

FORMER BOARD

Number of meetings scheduled for 2015/2016 **4**

Serah K. Ndege - Chairman	4/4
Leah Rotich	3/4
Cheryl Majiwa	4/4
J. N. K. Mugambi	4/4
Elizabeth Mwongera	4/4
Robert Mbato	4/4
Dorothy Opondo	4/4
Vitalis Awuor	4/4
Eve A. Obara - Managing Director	4/4

CURRENT BOARD

Number of meetings scheduled for 2015/2016 **6**

Hon. Amb. Francis S. K. Bayah - Chairman	6/6
Leah Rotich represented by Martin Oloo twice and by Kinara I. Nyabari once	6/6
Cheryl Majiwa	5/6
Abdallah Bii	5/6
Josephine Maangi	5/6
Sammy M. Chepkwony	6/6
John Kenduiwo	5/6
Charity K. Chepkwony	6/6
Elizabeth Mwongera	5/6
Moses Lerosion	4/6
Eve A. Obara - Managing Director	3/3

DIRECTORS' REMUNERATION

The Bureau pays members of the Board such taxable sitting allowance as may be approved by the Cabinet Secretary for Education, Science and Technology, following guidelines from the State Corporations Advisory Committee and Salaries and Remuneration Commission. The sitting allowance is payable when a member attends meetings of the Board or Committees and when on official duty in and outside the country. The Chairman of the Board is paid a honoraria as approved by the Government from time to time. The payment of sitting, travelling and lunch allowance is also based

on the approved rates by the Government of Kenya. The Bureau does not grant personal loans, guarantees to directors.

STAFF REMUNERATION

Staff remuneration is based on the sustained performance by the employees and is subject to the approval of the Board and the Salaries and Remuneration Commission and based on the budget. Year-end rewards and benefits are tied to the overall performance for the Bureau in monetary terms. The Bureau undertakes a comprehensive annual staff appraisal against their pre-agreed targets and objects and this informs the individual performance and contribution to the company performance and achievement of the overall goals.

CONFLICT OF INTEREST

All Directors are required to inform the Board of any conflicts or potential conflicts of interest they may have in relation to particular items of business; and they are required to absent themselves from discussion or decisions on those matters, unless resolved otherwise by the remaining members of the Board;

INTERNAL CONTROLS

The Board is committed to establishing and monitoring a risk management framework and to controlling its business and financial activities with a view to maximising profitable business opportunities and ensuring compliance with legal and regulatory requirements. The Board assesses the effectiveness of the Bureau's internal control systems on a quarterly basis.

CODE OF CONDUCT AND MWONGOZO CODE OF GOVERNANCE

The Bureau has commenced implementation of Mwongozo Code of Governance for State Corporations, which was issued by the Presidency. The Bureau has revised its Code of Conduct in line with the leadership and Integrity Act 2012 for which all the directors, management and employees are required to observe and which is also reinforced by the core values and principles of governance.

GOING CONCERN

The Board confirms that the company has adequate resources to continue in business in the foreseeable future. Based on this reason, the Board continues to adopt the going concern basis when preparing the financial statements.

CORPORATE SOCIAL RESPONSIBILITY STATEMENT

SOCIAL RESPONSIBILITY

The Bureau recognises the power of the citizenry and the communities within which it operates and takes deliberate measures to serve and uplift their standard of living.

The Bureau remains committed to our social, economic, environmental and ethical obligations by maintaining interaction with all the stakeholders. There are several initiatives implemented continuously and which are geared towards promoting social responsibility. These include;

- The book donation project, *Imarisha Kimasomo* has continued to make remarkable and valuable contribution in ensuring access to educational materials and improving quality for the disadvantaged schools in all corners of the country. The policy of providing donation books to employees for at least one primary and one secondary school was a major achievement in an attempt to give back to the society. Books donated are used to stock the libraries and hence uplifting the reading culture.
- Remarkably the book donations have been extended to Members of Parliament and Senators to aid the schools in the areas to sock their libraries with reading materials. This has had a tremendous impact in all counties.
- The Bureau recognizes that staff are a key component of any business success story as come and has therefore come up with internal social responsibility programmes aimed at promoting the development of the employees through provision of educational loans.
- The Bureau provides life skills by mentoring students to exploit their potential, by sponsoring school subject contests, publishing books on life skills and participating in leadership and mentoring talks to students.
- Bookshops have benefited from the social responsibility programmes where the Bureau organizes for training of Bookshops attendants on customer service.

ENVIRONMENTAL SUSTAINABILITY

The Bureau has made a commitment to environmental sustainability by developing programmes that promote environmental conservation and creation of awareness in partnership with schools and other stakeholders. The Bureau conducted an Energy Audit and is continuously implementing the recommendations of the audit.

The Bureau planted over 5,000 trees in various counties in partnership with schools. Environmental awareness programmes such as the environment clean-up days, participation and sponsorship of the World environmental Day and the World Wetlands day were some of the initiatives to promote environmental sustainability.

The Bureau continues to invest in corporate social responsibility programmes that up lift the well-being of the society and in turn provide a continuous flow of customers and consumers.

REPORT OF THE DIRECTORS

The Directors submit their report together with the audited financial statements for the year ended 30 June, 2016 which show the state of the Bureau's affairs.

Principal activities

The principal activities of the Bureau continue to be; to publish, print and disseminate literary, educational, cultural and scientific literature and materials.

Results

The results of the Bureau for the year ended 30 June, 2016 are set out on pages 37 to 65.

Dividends

The Board of Management proposes dividend for the year ended 30 June, 2016 amounting to Kshs. 15.16 million which is payable to the Government of Kenya through the National Treasury based on the audited financial statements. The dividend will be paid in the fourth quarter of 2016/2017 financial year.

Directors

The members of the former and the current Board of Management who served during the year are shown on page 3 and 4.

Auditors

The Auditor General is responsible for the statutory audit of the Kenya Literature Bureau in accordance with the Public Finance Management (PFM) Act, 2012.

By Order of the Board

Mr. Victor K. Lomaria
Secretary to the Board
NAIROBI

Date: 5 October, 2016

STATEMENT OF DIRECTORS' RESPONSIBILITIES

Section 81 of the Public Finance Management Act, 2012 and the State Corporations Act, require the Directors to prepare financial statements in respect of the Bureau, which give a true and fair view of the state of affairs of the Bureau at the end of the financial year and the operating results of the Bureau for that year. The Directors are also required to ensure that the Bureau keeps proper accounting records which disclose with reasonable accuracy the financial position of the Bureau. The Directors are also responsible for safeguarding the assets of the Bureau.

The Directors are responsible for the preparation and presentation of the Bureau's financial statements, which give a true and fair view of the state of affairs of the Bureau for and as at the end of the financial year ended on 30 June, 2016. This responsibility includes:

(i) maintaining adequate financial management arrangements and ensuring that these continue to be effective throughout the reporting period;
(ii) maintaining proper accounting records, which disclose with reasonable accuracy at any time the financial position of the Bureau;
(iii) designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of the financial statements, and ensuring that they are free from material misstatements, whether due to error or fraud;
(iv) safeguarding the assets of the Bureau;
(v) selecting and applying appropriate accounting policies; and
(vi) making accounting estimates that are reasonable in the circumstances.

The Directors accept responsibility for the Bureau's financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards (IFRS), and in the manner required by the Public Financial Management Act and the State Corporations Act. The Directors are of the opinion that the Bureau's financial statements give a true and fair view of the state of Bureau's transactions during the financial year ended 30 June, 2015, and of the Bureau's financial position as at that date. The Directors further confirm the completeness of the accounting records maintained for the Bureau, which have been relied upon in the preparation of the Bureau's financial statements as well as the adequacy of the systems of internal financial control.

Nothing has come to the attention of the Directors to indicate that the Bureau will not remain a going concern for at least the next twelve months from the date of this statement.

Approval of the financial statements

The Bureau's financial statements were approved by the Board on 28 July, 2016 and signed on its behalf by:

Hon. Amb. Francis S. K. Bayah
Director

Mr. Victor K. Lomaria
Director

REPUBLIC OF KENYA

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P.O. Box 30084-00100
NAIROBI

OFFICE OF THE AUDITOR-GENERAL

REPORT OF THE AUDITOR-GENERAL ON KENYA LITERATURE BUREAU FOR THE YEAR ENDED 30 JUNE 2016

REPORT ON THE FINANCIAL STATEMENTS

I have audited the accompanying financial statements of Kenya Literature Bureau set out on pages 37 to 65, which comprise the statement of financial position as at 30 June 2016, and the statement of comprehensive income, statement of changes in capital fund and reserves and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information in accordance with the provisions of Article 229 of the Constitution of Kenya and Section 48 of the Public Audit Act, 2015. I have obtained all the information and explanations which, to the best of my knowledge and belief, were necessary for the purpose of the audit.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The management is also responsible for the submission of the financial statements to the Auditor-General in accordance with the provisions of Section 47 of the Public Audit Act, 2015.

Auditor-General's Responsibility

My responsibility is to express an opinion on these financial statements based on the audit and report in accordance with the provisions of Section 48 of the Public Audit Act, 2015 and submit the audit report in compliance with Article 229(7) of the Constitution. The audit was conducted in accordance with International Standards of Supreme Audit Institutions. Those standards require compliance with ethical requirements and that the audit be planned and performed to obtain reasonable assurance about whether the financial statements are free from material misstatement.

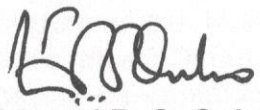
An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's

preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bureau's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the management, as well as evaluating the overall presentation of the financial statements.

I believe that the audit evidence obtained is sufficient and appropriate to provide a basis for my audit opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of Kenya Literature Bureau as at 30 June 2016, and its financial performance and its cash flows for the year then ended, in accordance with International Financial Reporting Standards and comply with Kenya Literature Bureau Act, Cap 209 of the Laws of Kenya.



FCPA Edward R. O. Ouko, CBS
AUDITOR-GENERAL

Nairobi

11 April 2017

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE, 2016

		NOTE	2016 Kshs	2015 Kshs
REVENUES				
Turnover	**(A)**	**1 (a)**	2,053,443,913	1,762,340,647
Cost of Sales	**(B)**	**1 (b)**	(769,053,309)	(689,825,948)
Gross Profit			**1,284,390,604**	**1,072,514,699**
Gross Income from investments		**7 (a)**	43,361,961	32,793,039
Gain/(Loss) on Disposal of Non-financial Assets		**2**	(793,901)	1,651,250
Other Income		**3**	5,863,383	7,085,539
OTHER REVENUES	**(C)**		**48,431,443**	**41,529,828**
TOTAL REVENUES	**[A+C]**		2,101,875,356	**1,803,870,475**
Administration Costs		**4 (a)**	347,617,484	294,205,139
Selling and Distribution Costs		**5**	726,413,860	610,005,482
Depreciation - Property, Plant and equipment		**10 (b)**	36,175,284	33,510,085
OPERATING EXPENSES	**(D)**		1,110,206,628	**937,720,706**
TOTAL COSTS	**[B+D]**		1,879,259,937	**1,627,546,654**
OPERATING PROFIT FOR THE YEAR BEFORE TAX			222,615,419	**176,323,821**
Other Comprehensive Income			-	-
INCOME TAX EXPENSE		**8(a)**	**71,019,864**	**42,345,917**
TOTAL COMPREHENSIVE INCOME AFTER TAX			**151,595,555**	**133,977,904**

Hon. Amb. Francis S. K. Bayah
Chairman
5 October, 2016

Mr. Victor K. Lomaria
Managing Director
5 October, 2016

STATEMENT OF FINANCIAL POSITION AT 30 JUNE, 2016

ASSETS	NOTE	2016	2015
Non - Current Assets		**Kshs**	**Kshs**
Property, Plant and Equipment	**10 (a)**	1,227,422,133	1,234,854,844
Current Assets			
Inventories	**12**	421,175,243	487,131,194
Trade and Other Receivables	**13(a)**	417,743,543	371,012,036
Short-term Investments	**14**	536,433,493	428,828,171
Cash and Bank Balances	**15**	143,435,900	118,769,231
		1,518,788,179	1,405,740,631
TOTAL ASSETS		**2,746,210,312**	**2,640,595,476**
RESERVES, FUND AND LIABILITIES			
Capital Fund	**16**	1,000,000,000	1,000,000,000
Revaluation Reserves	**17**	580,120,938	580,120,938
Revenue Reserves	**18**	902,231,260	765,795,260
Shareholder funds		2,482,352,198	2,345,916,198
CURRENT LIABILITIES			
Trade & Other Payables	**19**	263,858,114	294,679,278
		263,858,114	294,679,278
TOTAL RESERVES, FUND AND LIABILITIES		**2,746,210,312**	**2,640,595,476**

The financial statements were approved by the Board of Management on July 28, 2015

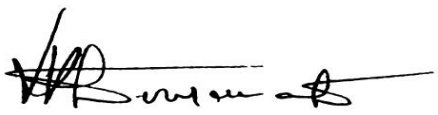
and were signed on its behalf by:



Hon. Amb. Francis S. K. Bayah

Chairman

5 October, 2016



Mr. Victor K. Lomaria

Managing Director

5 October, 2016

The notes set out on pages 32 to 53 form part of these financial statements.

STATEMENT OF CHANGES IN CAPITAL FUND AND RESERVES FOR THE YEAR ENDED 30 JUNE, 2016

	Capital Fund	Revaluation Reserves	Revenue Reserves	Total Reserves
	Kshs	Kshs	Kshs	Kshs
At 1st July 2014	**1,000,000,000**	**406,887,671**	**375,827,475**	**1,782,715,146**
Transfers of previous revaluation surplus to retained earnings	-	**(269,387,671)**	**269,387,671**	-
Revaluation Surplus /(Loss) 2015	-	442,620,938	-	442,620,938
Net Profit for the year	-	-	176,323,821	176,323,821
Prov. For Corporation Tax - 2014/15	-	-	(42,345,917)	(42,345,917)
Dividends - 2014/15 Paid	-	-	(13,397,790)	(13,397,790)
At 30 June 2015	**1,000,000,000**	**580,120,938**	**765,795,260**	**2,345,916,198**
At 1st July 2015	**1,000,000,000**	**580,120,938**	**765,795,260**	**2,345,916,198**
Net Profit for the year	-	-	222,615,419	222,615,419
Prov. For Corporation Tax - 2015/16	-	-	(71,019,864)	(71,019,864)
Dividends Payable - 2015/16	-	-	(15,159,555)	(15,159,555)
At 30 June 2016	**1,000,000,000**	**580,120,938**	**902,231,260**	**2,482,352,198**

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30 JUNE, 2016

OPERATING ACTIVITIES	Notes	2016 Kshs	2015 Kshs
Operating profit for the year	**6**	222,615,419	176,323,820
Adjustments for:			
Depreciation Expenses	**10 (a)**	50,370,168	51,676,993
(Decrease)/Increase in Prov. for Slow Moving Stock	**4(a)**	255,943	(821,414)
Provision for Doubtful Debts	**4(a)**	939,571	1,164,030
Interest Income	**7 (c)**	(43,361,961)	(27,874,083)
Foreign Exchange (Gain)/ Loss		-	606,906
(Profit)/Loss on disposal of Assets	**2**	793,901	(1,651,250)
Operating profit before Working Capital Changes		**231,613,041**	**199,425,001**
(Increase)/Decrease in Inventories	**12**	65,700,008	90,363,400
Realised Foreign Exchange (Gain)/Loss		-	-
(Increase)/Decrease in Receivables	**13(a)**	(70,363,992)	(65,680,653)
(Increase)/Decrease in payables	**19**	(55,534,374)	64,935,831
Cash generated from operations		**171,414,683**	**289,043,578**
Dividends Paid	**9**	(13,419,470)	(10,679,315)
Corporation Tax Paid	**8(b)**	(25,652,431)	(100,007,186)
Net Cashflows from Operating Activities		**132,342,782**	**178,357,078**
INVESTING ACTIVITIES			
Purchase of property, plant & equipment	**10**	(44,359,673)	(90,805,556)
Disposal of property, plant & equipment	**10**	628,316	1,651,250
Interest income received from Investments	**7(b)**	43,660,568	24,878,044
Net Cashflows from Investing Activities		**(70,790)**	**(64,276,262)**
(Decrease)/ Increase in Cash & Cash Equivalents		**132,271,991**	**114,080,815**
Cash & Cash Equivalents at the			
- Start of the year (1st July 2015)		547,597,402	433,516,587
- End of the year (30th June 2016)	**21(b)**	**679,869,393**	**547,597,402**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE, 2016

A. Summary of significant accounting policies

The significant accounting policies adopted in the preparation of these general purpose financial statements are set out below:

a) Statement of compliance and basis of preparation

The financial statements are prepared on a going concern basis and in compliance with the International Financial Reporting Standards (IFRS), which allows the use of estimates and assumptions. It also requires management to exercise judgement in the process of applying Kenya Literature Bureau's accounting policies.

The financial statements have been prepared and presented in Kenya Shillings, which is the functional and reporting currency of Kenya Literature Bureau.

The financial statements have been prepared in accordance with the Public Financial Management Act, the State Corporations Act, and International Financial Reporting Standards (IFRS). The accounting policies adopted have been consistently applied to all the years presented.

The financial statements comprise a profit and loss account (income statement), statement of comprehensive income, balance sheet (statement of financial position), statement of changes in equity, statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognized in the profit and loss account. Other comprehensive income is recognized in the statement of comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognized in the profit and loss account as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to the profit and loss account in the current period that were recognized in other comprehensive income in the current or previous periods. Transactions with the owners of the company in their capacity as owners are recognized in the statement of changes in equity.

Measurement basis

The financial statements have been prepared on a historical cost basis except for the measurement at re-valued amounts of certain items of property, plant and equipment, marketable securities and financial instruments at fair value, impaired assets at their estimated recoverable amounts and actuarially determined liabilities at their present value and where otherwise stated in the accounting policies below.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the company uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the company using valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorized into three levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

• Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

• Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (ie as prices) or indirectly (ie derived from prices).

• Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognized by the company at the end of the reporting period during which the change occurred.

b) New and revised standards

i) Adoption of new and revised standards

A number of amendments to standards and one interpretation became effective for the first time in the financial year beginning 1st January 2014 have been adopted by the corporation. None of them had an effect on the corporation's financial statements.

Amendments to IAS 19 titled *Defined Benefit Plans: Employee Contributions* (issued in November 2013) The amendments, applicable retrospectively to annual periods beginning on or after 1 July 2014, clarify the requirements that relate to how contributions from employees or third parties that are linked to service should be attributed to periods of service. In particular, contributions that are independent of the number of years of service can be recognised as a reduction in the service cost in the period in which the related service is rendered (instead of attributing them to the periods of service).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

Amendment to IAS 24 (*Annual Improvements to IFRSs Cycle*, issued in December 2013) - The amendment, applicable to annual periods beginning on or after 1 July 2014, clarifies how payments to entities providing management services are to be disclosed.

Amendment to IAS 16 and IAS 38 (*Annual Improvements to IFRSs Cycle,* issued in December 2013). The amendment, applicable to annual periods beginning on or after 1 July 2014, clarifies how the gross carrying amount and the accumulated depreciation/amortisation are treated where an entity uses the revaluation model.

Amendment to IFRS 8 (*Annual Improvements to IFRSs Cycle,* issued in December 2013) -The amendment, applicable to annual periods beginning on or after 1 July 2014, requires disclosure of the judgements made by management in applying the aggregation criteria to operating segments, and clarifies that reconciliations of the total of the reportable segments' assets to the entity's assets are required only if the segment assets are reported regularly.

Amendment to IAS 40 (*Annual Improvements to IFRSs Cycle,* issued in December 2013) - The amendment, applicable to annual periods beginning on or after 1 July 2014, clarifies that IFRS 3 and IAS 40 are not mutually exclusive: while IAS 40 assists preparers to distinguish between investment property and owner-occupied property, IFRS 3 helps them to determine whether the acquisition of an investment property is a business combination.

Amendment to IFRS 3 (*Annual Improvements to IFRSs Cycle* , issued in December 2013) -The amendment, applicable prospectively to annual periods beginning on or after 1 July 2014, clarifies that IFRS 3 excludes from its scope the accounting for the formation of any joint arrangement in the financial statements of the joint arrangement itself.

Amendment to IFRS 13 (*Annual Improvements to IFRSs Cycle,* issued in December 2013) -The amendment, applicable to annual periods beginning on or after 1 July 2014, clarifies that the portfolio exception in IFRS 13 - allowing an entity to measure the fair value of a group of financial assets and financial liabilities on a net basis - applies to all contracts (including non-financial) within the scope of IAS 39 / IFRS 9.

IFRS 14 *Regulatory Deferral Accounts* (issued in January 2014) - The new standard, effective for annual accounting periods beginning on or after 1 January 2016, defines a regulatory deferral account balance and allows entities to continue to apply their existing policy for regulatory deferral account balances, but requires certain disclosures.

Amendments to IAS 16 and IAS 38 titled *Clarification of Acceptable Methods of Depreciation*

NOTES TO THE FINANCIAL STATEMENTS (Continued)

and Amortisation (issued in May 2014) The amendments add guidance and clarify that (i) the use of revenue-based methods to calculate the depreciation of an asset is not appropriate because revenue generated by an activity that includes the use of an asset generally reflects factors other than the consumption of the economic benefits embodied in the asset, and (ii) revenue is generally presumed to be an inappropriate basis for measuring the consumption of the economic benefits embodied in an intangible asset; however, this presumption can be rebutted in certain limited circumstances. They are prospectively effective for annual periods beginning on or after 1 January 2016.

Amendments to IAS 16 and IAS 41 titled *Agriculture: Bearer Plants* (issued in June 2014). The amendments, applicable to annual periods beginning on or after 1 January 2016, define bearer plants i.e. living plants which are used solely to grow produce over several periods and usually scrapped at the end of their productive lives (e.g. grape vines, rubber trees, oil palms) - and include them within IAS 16's scope while the produce growing on bearer plants remain within the scope of IAS 41.

ii) New and revised standards and interpretations which have been issued but are not yet effective

Amendments to IFRS 11 titled *Accounting for Acquisitions of Interests in Joint Operations* (issued in May 2014) The amendments, applicable prospectively to annual periods beginning on or after 1 July 2016, require an acquirer of an interest in a joint operation in which the activity constitutes a business (as defined in IFRS 3) to apply all of the business combinations accounting principles and disclosure in IFRS 3 and other IFRSs, except for those principles that conflict with the guidance in IFRS 11. The amendments apply both to the initial acquisition of an interest in a joint operation, and the acquisition of an additional interest in a joint operation (in the latter case, previously held interests are not re-measured).

Amendments to IFRS 11 titled *Accounting for Acquisitions of Interests in Joint Operations* (issued in May 2014) The amendments, applicable prospectively to annual periods beginning on or after 1 July 2016, require an acquirer of an interest in a joint operation in which the activity constitutes a business (as defined in IFRS 3) to apply all of the business combinations accounting principles and disclosure in IFRS 3 and other IFRSs, except for those principles that conflict with the guidance in IFRS 11. The amendments apply both to the initial acquisition of an interest in a joint operation, and the acquisition of an additional interest in a joint operation (in the latter case, previously held interests are not re-measured).

Amendments to IAS 27 titled *Equity Method in Separate Financial Statements* (issued in August

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2014) The amendments, applicable to annual periods beginning on or after 1 July 2016, reinstate the equity method option allowing entities to use the equity method to account for investments in subsidiaries, joint ventures and associates in their separate financial statements.

IFRS 15 *Revenue from Contracts with Customers* (issued in May 2014) - The new standard, effective for annual periods beginning on or after 1 January 2017, replaces IAS 11, IAS 18 and their interpretations (SIC-31 and IFRIC 13, 15 and 18). It establishes a single and comprehensive framework for revenue recognition to apply consistently across transactions, industries and capital markets, with a core principle (based on a five-step model to be applied to all contracts with customers), enhanced disclosures, and new or improved guidance.

IFRS 9 *Financial Instruments* (issued in July 2014). This standard will replace IAS 39 (and all the previous versions of IFRS 9) effective for annual periods beginning on or after 1 January 2018. It contains requirements for the classification and measurement of financial assets and financial liabilities, impairment, hedge accounting and de-recognition.

IFRS 9 requires all recognised financial assets to be subsequently measured at amortised cost or fair value (through profit or loss or through other comprehensive income), depending on their classification by reference to the business model within which they are held and their contractual cash flow characteristics.

For financial liabilities, the most significant effect of IFRS 9 relates to cases where the fair value option is taken: the amount of change in fair value of a financial liability designated as at fair value through profit or loss that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income (rather than in profit or loss), unless this creates an accounting mismatch.

For the impairment of financial assets, IFRS 9 introduces an credit model based on the concept of providing for expected losses at inception of a contract; it will no longer be necessary for there to be objective evidence of impairment before a credit loss is recognised. For hedge accounting, IFRS 9 introduces a substantial overhaul allowing financial statements to better reflect how risk management activities are undertaken when hedging financial and non-financial risk exposures.
The de-recognition provisions are carried over almost unchanged from IAS 39.

The Directors do not plan to apply any of the above until they become effective. Based on their assessment of the potential impact of application of the above, they do not expect that there will be a significant impact on the corporation's financial statements.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

c) Translation of foreign currencies

On initial recognition, all transactions are recorded in the functional currency (the currency of the primary economic environment in which the company operates), which is Kenya Shillings.

Transactions in foreign currencies during the year are converted into the functional currency using the exchange rate prevailing at the transaction date. Monetary assets and liabilities at the balance sheet date denominated in foreign currencies are translated into the functional currency using the exchange rate prevailing as at that date. The resulting foreign exchange gains and losses from the settlement of such transactions and from year-end translation are recognized on a net basis in the profit and loss account in the year in which they arise, except for differences arising on translation of non-monetary available for sale financial assets, which are recognized in other comprehensive income.

d) Revenue recognition

Revenue is recognised to the extent that it is probable that future economic benefits will flow to Kenya Literature Bureau and the revenue can be reliably measured. Revenue is recognised at the fair value of consideration received or expected to be received in the ordinary course of Kenya Literature Bureau activities, net of value-added tax (VAT), where applicable, and when specific criteria have been met for each of Kenya Literature Bureau activities as described below.

i) **Revenue from the sale of goods and services** is recognised in the year in which the Bureau delivers products to the customer, the customer has accepted the products and collectability of the related receivables is reasonably assured. Discounts are recognised at the same time as the revenue to which they relate and are charged to profit and loss account.
As per International Accounting Standards 21 on the Effects of changes in Foreign Exchange Rates, revenue realised in foreign currency is initially recognised in the functional, by applying to the foreign currency amount the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.
At the end of the reporting period foreign currency monetary items are translated using the closing rate.

ii) **Revenue from printing services** is recognized when the printing order is placed, confirmed by the customer, printing done, delivered and invoiced.

iii) **Grants from National Government** are recognised in the year in which the Bureau actually receives such grants.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

iv) **Finance income** comprises interest receivable from bank deposits and investment in securities, and is recognised in profit or loss on a time proportion basis using the effective interest rate method.

v) **Dividend income** is recognised in the income statement in the year in which the right to receive the payment is established.

vi) **Rental income** is recognised in the income statement as it accrues using the effective lease/rental agreements.

vii) **Other income** is recognised as it accrues.

e) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost less accumulated depreciation and impairment losses. The portion of the building used for rental purposes has not been disclosed separately under the Investment Property due to its insignificance.

Certain categories of property, plant and equipment are subsequently carried at re-valued amounts, being their fair value at the date of re-valuation less any subsequent accumulated depreciation and impairment losses. Where re-measurement at re-valued amounts is desired, all items in an asset category are re-valued through periodic valuations carried out by independent external valuers.

Increases in the carrying amounts of assets arising from re-valuation are credited to other comprehensive income. Decreases that offset previous increases in the carrying amount of the same asset are charged against the revaluation reserve account; all other decreases are charged to profit or loss in the income statement.

Gains and losses on disposal of items of property, plant and equipment are determined by comparing the proceeds from the disposal with the net carrying amount of the items, and are recognised in profit or loss in the income statement.

The cost of property, plant and equipment comprises

(i) Its purchase price, including import duties and non-refundable purchase taxes such as Value Added Tax (VAT), after deducting trade discounts and rebates, where applicable;
(ii) Any costs directly attributable to brining the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

f) Depreciation and impairment of property, plant and equipment

Freehold land and capital work in progress are not depreciated. Capital work in progress relates mainly to the cots of ongoing but incomplete works on buildings and other civil works and installations.

Depreciation on property, plant and equipment is recognised in the income statement on a straight-line basis to write down the cost of each asset or the re-valued amount to its residual value over its estimated useful life. The annual rates in use are:

Buildings and civil works	4%
Plant and machinery	5%
Motor vehicles, including motor cycles	25%
Computers and related equipment	30%
Office equipment, furniture and fittings	12.5%

Items of property, plant and equipment are reviewed annually for impairment. Where the carrying amount of an asset is assessed as greater than its estimated recoverable amount, an impairment loss is recognised so that the asset is written down immediately to its estimated recoverable amount. Plant and Machinery mainly comprise of specialized printing machines whose useful life extends to over 20 years. They are depreciated at the rate of 5% or 20 years of useful life.

Depreciation is apportioned between the Production overheads and the Administrative overheads at the rate of 20% and 80% respectively for buildings, furniture and fittings; and at 80% and 20% respectively for Plant and machinery.

g) Financial risk management objectives and policies

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of the industry and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the Senior Management under policies approved by the Board of Directors. The Board provides principles for overall risk management.

i) Credit risk

Credit risk is the risk of financial loss to the company of a customer to a financial instrument fails to meet its contractual obligations, and arises principally from the company's receivables with customers.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

The amount that best represents the company's maximum exposure to credit risk as at 30th June 2016 and 30th June 2015 is as shown below:

	2016	2015
Trade and other receivables	413,769,077	363,995,731
Due from related parties	3,974,466	6,998,636
Bank balances (including short-term deposits and treasury bills)	679,869,393	547,598,690
	1,097,612,936	**911,664,408**

Bank balances are held with credible financial institutions and are fully performing. Trade receivables are due from customers with good credit rating. Treasury bills are held with the Government of Kenya and have zero credit risk.

ii) Liquidity risk

Liquidity risk is the risk that the company will not be able to meet its financial obligations as they fall due. The company implements prudent liquidity risk management that include maintaining sufficient cash to meet company obligations. The company manages this risk by maintaining adequate cash balances in the bank, maintaining short-term deposits and treasury bills and by continuously monitoring forecast and actual cash flows.

The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	2016	2015
Trade and other payables	**264,824,350**	**280,072,147**

iii) Market risk

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate because of the changes in market price and comprises three types of risks: currency risk, interest rate risk, and other price risk.

Currency risk

Currency risk arises on financial instruments denominated in foreign currency. The company has cash equivalents denominated in foreign currency to the tune of United States Dollars 64,178.14 as at 30th June 2016. However, the currency risk arising from

NOTES TO THE FINANCIAL STATEMENTS (Continued)

them is minimal since the amount held in relation to the total cash and cash equivalents is the least.

Interest rate risk

The corporation does not have any borrowings as at 30th June 2016 and hence not exposed to cash flow interest rate risk resulting from changes in market interest rates.

Other price risk

Other price risk arises on financial statements because of changes in the price of a financial instrument. The corporation is not exposed to other price risk since the prices of its financial instrument remain stable. In addition, the corporation does not have investments in quoted shares.

h) Intangible assets

Intangible assets comprise purchased computer software licences classified as application systems, which are capitalised on the basis of costs incurred to acquire and bring to use the specific software. These costs are amortised over the estimated useful life of the intangible assets from the year that they are available for use.

i) Amortisation and impairment of intangible assets

Amortisation is calculated on the straight-line basis over the estimated useful life of computer software of three to five years.

All computer software is reviewed annually for impairment. Where the carrying amount of an intangible asset is assessed as greater than its estimated recoverable amount, an impairment loss is recognised so that the asset is written down immediately to its estimated recoverable amount.

j) Investment property

Buildings, or part of a building (freehold or held under a finance lease) and land (freehold or held under an operating lease) held for long term rental yields and/or capital appreciation, and which are not occupied by the Bureau, are classified as investment property under non-current assets.

Investment property is carried at fair value, representing open market value determined periodically by independent external values. Changes in fair values are included in profit or loss in the income statement. The part of the Bureau's building

under rentals has not been segregated as an investment property due to its insignificance.

k) Finance and operating leases

Leases which confer substantially all the risks and rewards of ownership to the Bureau are classified as finance leases. Upon initial recognition, the leased asset is measured at an amount equal to the lower of its fair value and the present value of the minimum lease payments, and the asset is subsequently accounted for in accordance with the accounting policy applicable to that asset.

All other leases are treated as operating leases and the leased assets are recognised in the statement of financial position to the extent of prepaid lease rentals at the end of the year. Payments made under operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense over the term of the lease.

l) (i) Inventories

Inventories are stated at the lower of cost and net realisable value. The cost of inventories comprises production cost or purchase price, import duties, transportation and handing charges, and is determined on the moving average price method.

(ii) Slow moving stocks

A provision for slow moving stocks is made at the rate 10% of the slow moving titles determined at the end of the financial year based on the annual title sales, nature/category of the title and the state of the market.

m) (i) Trade and other receivables

Trade and other receivables are recognised at fair values less allowances for any uncollectible amounts. These are assessed for impairment on a continuing basis. An estimate is made of doubtful receivables based on a review of all outstanding amounts at the year end. Bad debts are written off after all efforts at recovery have been exhausted.

(ii) Bad and doubtful debts

A provision for bad and doubtful debts is made at 5% of the book and printing debts outstanding after ninety (90) days as at the end of the financial year.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

n) Taxation

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the tax authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted as at the reporting date. Current income tax relating to items recognised directly in equity is recognised in equity and not in the income statement.
Deferred income tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

o) Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and cash at bank, short-term deposits on call and highly liquid investments with an original maturity of three months or less, which are readily convertible to known amounts of cash and are subject to insignificant risk of changes in value. Bank account balances include amounts held at various commercial banks at the end of the financial year. For the purposes of these financial statements, cash and cash equivalents also include short term cash imprests and advances to authorised public officers and/or institutions which were not surrendered or accounted for at the end of the financial year.

p) Trade and other payables

Trade and other payables are non-interest bearing and are carried at amortised cost, which is measured at the fair value of contractual value of the consideration to be paid in future in respect of goods and services supplied, whether billed to the Bureau or not, less any payments made to the suppliers.

q) Retirement benefit obligations

(a) Defined Contribution Scheme

The Bureau operates a defined contribution scheme for the full time employees from 1st April 2011. The scheme is administered by an in-house Board of Trustees and is funded by contributions from both the Bureau and its employees.

(b) Defined Benefits Scheme

The Bureau operates a defined benefit scheme which remains a closed fund

for employees that were aged above 45 years as at 1st April 2011. The scheme does not admit new members. All permanent staff joining the Bureau are registered for the defined contribution scheme after probation. The year end of the two schemes is 31st December.

(c) National Social Security Fund

The Bureau contributes to the statutory National Social Security Fund (NSSF). This is defined contribution scheme registered under the National Social Security Act 2013. The Bureau's obligation under the scheme is limited to specific contributions legislated from time to time and is currently at a graduated scale per employee per month based on the gross pay.

r) Provision for staff leave pay

Employee's entitlements to annual leave are recognised as they accrue at the employees. A provision is made for the estimated liability for annual leave at the reporting date.

s) Significant judgements and key sources of estimation uncertainty

In the process of applying the accounting policies adopted by the company, the directors make certain judgements and estimates that may affect the amounts recognized in the financial statements. Such judgements and estimates are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the current circumstances. However, actual results may differ from those estimates. The judgements and estimates are reviewed at each financial reporting date to ensure that they are still reasonable under the prevailing circumstances based on the information available, and any revisions to such judgements and estimates are recognized in the year in which the revision is made.

(i) Significant judgements made in applying the company's accounting policies

The judgements made by the directors in the process of applying the company's accounting policies that have the most significant effect on the amounts recognized in the financial statements include:

a) Whether it is probable that future taxable profits will be available against which temporary differences can be utilized; and

b) Whether the company has the ability to hold 'held-to maturity' investments until they mature. If the company were to sell other than an insignificant amount of

NOTES TO THE FINANCIAL STATEMENTS (Continued)

such investments before maturity, it would be required to classify the entire class as 'available-for-sale' and measure them at fair value.

(ii) Key sources of estimation uncertainty

In the opinion of the directors, they have made no assumptions and there are no sources of estimation uncertainty that are likely to cause a material adjustment to the carrying amounts of the assets and liabilities within the next financial year.

t) Comparative figures

Where necessary comparative figures for the previous financial year have been amended or reconfigured to conform to the required changes in presentation, where necessary.

u) Subsequent events

There have been no events subsequent to the financial year end with a significant impact on the financial statements for the year ended June 30, 2016.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2016	2015
1. (a) TURNOVER	**Kshs**	**Kshs**
Sale of books	2,033,416,294	1,711,390,171
Printing sales	20,027,619	50,950,476
	2,053,443,913	**1,762,340,647**

Turnover comprises gross amount invoiced for sale of books and printing services.

1. (b) COST OF SALES

Opening inventories		
Printed books	458,581,843	536,280,728
Raw materials	13,606,811	14,852,920
Work in progress	13,306,772	24,382,293
	485,495,425	**575,515,941**
Production Costs		
Direct Expenses	132,992,020	117,639,283
Raw Materials	81,535,164	70,521,052
Direct Labour	74,426,575	62,638,240
Overheads	162,616,695	134,316,156
Contracted Works	250,682,003	214,690,700
	702,252,458	**599,805,431**
Closing inventories		
Printed books	393,228,551	458,581,843
Raw materials	12,181,620	13,606,811
Work in progress	13,284,404	13,306,772
	418,694,574	**485,495,425**
COST OF SALES	**769,053,309**	**689,825,946**

The summary relates to the direct expenditure (cost of sales) for the year

2. GAIN ON DISPOSAL OF NON FINANCIAL ASSETS

Gain on disposal of non-current assets	**(793,901)**	**1,651,250**

This relates to the sale of non-current assets, which had been fully depreciated

3. OTHER INCOME

Rental Income	595,216	2,431,144
Waste Paper Income	319,540	201,065
Interest on advances	94,834	138,762
Foreign exchange gain	349,512	-
Miscellaneous income	4,504,281	4,314,567
	5,863,383	**7,085,539**

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		2016 Kshs	2015 Kshs
4 (a). ADMINISTRATION COSTS			
Staff Costs	**4 (b)**	277,321,278	229,247,508
Management board expenses	**4 (c)**	11,860,946	4,672,805
Foreign exchange loss		-	606,906
Transport operating expenses		8,584,601	10,499,987
Traveling and accomondation		5,436,087	6,148,990
Postal and telegram expenses		133,391	265,698
Telephone expenses		1,901,080	2,259,079
Electricity, Water and Conservancy		2,417,098	2,656,399
Purchase of uniforms		127,915	86,193
Purchase of stationery		4,954,308	4,295,523
Rent & Rates Expenses		111,936	111,936
Computer expenses		9,288,795	7,928,860
Hire of casuals		1,371,813	978,717
Insurance costs		2,764,433	1,620,882
Audit fees		812,000	812,000
Consultancy Expenses		235,000	180,000
Stock Write-off		-	-
Slow moving stocks provision expenses		255,943	(821,414)
Provision for Bad & Doubtful Debts		939,571	1,164,030
Tax on Interest Received		-	4,918,956
Maintenance of plant and machinery		3,243,110	2,032,797
Maintenance of office equipment		423,862	534,226
Maintenance of buildings		7,567,266	6,185,132
Security expenses		4,020,027	3,923,760
Library Expenses		129,118	273,465
Subscription		264,905	285,397
Donation		370,000	440,000
Bank charges		1,314,051	865,708
Legal charges		1,768,949	2,031,600
Total Administration Costs		**347,617,484**	**294,205,139**
4 (b). STAFF COSTS			
Basic Salaries		151,016,252	121,923,411
Gratuity and pension		34,211,942	26,766,556
House allowance		39,896,300	41,287,050
Other personal allowances		13,325,565	13,424,675
Leave pay and provisions		9,593,726	2,975,645
Medical expenses		9,807,780	10,550,350
Overtime costs		7,648,157	5,181,336
Staff training expenses		7,717,941	3,017,882
Staff welfare		4,103,615	4,120,603
Total Staff Costs		**277,321,278**	**229,247,508**
4 (c). MANAGEMENT BOARD EXPENSES			
Sitting and Lunch Allowances		6,078,708	2,798,000
Travelling Allowances		1,514,316	465,289
Chairman's Honoraria		996,290	1,044,000
Accomodation Allowances		913,400	100,000
Performance Bonus		625,404	-
Board Medical Expenses		138,508	51,645
Other Meeting expenses		1,594,320	213,871
Total Board Expenses		**11,860,946**	**4,672,805**
5. SELLING AND DISTRIBUTION COSTS			
Sales discounts allowed		656,564,517	555,979,676
Promotional Samples costs		1,591,786	1,220,530
Advertising, Research and Promotions		42,563,307	32,963,109
Corporate Affairs expenses		9,628,752	6,961,144
Packaging, carriage and handling		16,065,499	12,881,024
Total Selling Costs		**726,413,860**	**610,005,483**
Total Costs		**1,074,031,344**	**904,210,623**

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		2016 Kshs	2015 Kshs
6.	**OPERATING PROFIT / (LOSS)**		
	The operating profit is arrived at after charging / (crediting):		
	GROSS TURNOVER	2,053,443,913	1,762,340,647
	COST OF SALES	769,053,309	689,825,946
	GROSS TRADING PROFIT	**1,284,390,604**	**1,072,514,701**
	Income from investments	43,361,961	32,793,039
	Gain on Disposal of Non-financial Assets	(793,901)	1,651,250
	Other Income (note 3)	5,863,383	7,085,539
	TOTAL REVENUES	**2,101,875,355**	**1,803,870,475**
	Admin. , Staff, Selling & Distribution Costs (Note 4 & 5)	1,074,031,344	904,210,623
	Depreciation of property, Plant and equipment	36,175,284	33,510,085
	TOTAL COSTS	**1,879,259,935**	**1,627,546,654**
	Net operating Profit for the year	**222,615,420**	**176,323,821**
7(a).	**GROSS INCOME FROM INVESTMENTS**		
	Interest Income on Government securities	9,347,261	7,630,069
	Interest Income on short-term deposists	34,014,700	25,162,970
		43,361,961	**32,793,039**
7(b).	**INTEREST INCOME RECEIVED FROM INVESTMENTS**		
	Interest receivable at beginning of period	4,968,178	(1,242,627)
	Under provision of prior year	-	(1,704,191)
	Current years'	43,361,961	32,793,039
		48,330,139	29,846,222
	Less: Closing balance for the period	(4,669,571)	(4,968,178)
	Interest received at close of period	**43,660,568**	**24,878,044**
7(c).	**NET INTEREST INCOME**		
	Gross interest income	43,361,961	32,793,039
	Less: Tax on Interest Received	(6,504,294)	(4,918,956)
		36,857,667	**27,874,083**
8.	**INCOME TAX**		
8(a).	**CURRENT TAXATION**		
	-Charge for the year based on adjusted profit for the year at 30%	71,019,864	42,345,917
	- Less Advance/paid at source		-
	INCOME TAX EXPENSE	**71,019,864**	**42,345,917**
8(b).	**TAX LIABILITY /(RECOVERABLE)**		
	Tax (credit) at beginning of period	(22,415,987)	35,245,282
	Income Tax Charge based on adjusted profits for the period	71,019,864	42,345,917
		48,603,877	77,591,199
	Income Tax paid	(25,652,431)	(100,007,186)
	Tax liability / (credit) at the end of period	**22,951,446**	**(22,415,987)**

9. DIVIDENDS PAYABLE

The proposed dividend are accounted for as a separate component of equity are not based on number of ordinary shares since the Government of Kenya is the sole shareholder and the Capital Fund is not divided into any class of shares. The Board of Management of and the Capital Fund is not divided into any class of shares. The Board of Management of Kenya Literature Bureau declares and pays a dividend of 10% of the after tax Net profit for the year to the Government. The proposed dividend is payable after audit of the Financial statements.

Opening balance as at 1st july	13,397,790	10,679,315
Balance arising from restatement 2013/14	21,680	-
Proposed Dividend for the year	15,159,555	13,397,790
Dividend Paid during the year	(13,419,470)	(10,679,315)
Closing balance as at 30th June	**15,159,555**	**13,397,790**

NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 (a). PROPERTY, PLANT AND EQUIPMENT

2016	Land	Buildings & Civil Works	Plant and Machinery	Office Equipment	Motor Vehicles	Computers & Related Equipment	Application Systems	Office Furniture and Fittings	Total
	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs
COST OR VALUATION									
At July 1, 2015	493,350,000	428,150,000	252,647,738	1,547,561	36,189,587	12,694,704	14,718,469	10,427,500	**1,249,725,558**
Reclassification of Assets	-	-	-	366,500	-	(366,500)	-	-	**-**
Additions	-	1,329,611	17,000,000	2,732,629	11,977,600	3,621,046	4,227,530	3,471,257	**44,359,673**
Disposals	-	-	-	-	(1,792,000)	(368,080)	-	-	**(2,160,080)**
At June 30, 2016	**493,350,000**	**429,479,611**	**269,647,738**	**4,646,690**	**46,375,187**	**15,581,169**	**18,945,999**	**13,898,757**	**1,291,925,152**
DEPRECIATION									
At June 30, 2015	-	1,427,167	1,052,699	16,120	753,950	1,188,677	10,323,482	108,620	**14,870,714**
Adjust for depre. on disposal	-	-	-	-	(448,000)	(289,863)	-	-	**(737,863)**
Adjust for depre. On Reclassification	-	-	-	9,164	-	(9,164)	-	-	**(0)**
Charge for the Year	-	17,157,150	13,057,387	435,868	10,632,513	4,456,094	3,043,431	1,587,725	**50,370,168**
At June 30, 2016	**-**	**18,584,316**	**14,110,085**	**461,152**	**10,938,463**	**5,345,744**	**13,366,913**	**1,696,344**	**64,503,018**
NET BOOK VALUE									
At June 30, 2016	**493,350,000**	**410,895,295**	**255,537,652**	**4,185,538**	**35,436,724**	**10,235,425**	**5,579,086**	**12,202,413**	**1,227,422,133**
At June 30, 2015	**493,350,000**	**426,722,833**	**251,595,039**	**1,531,441**	**35,435,637**	**11,506,027**	**4,394,987**	**10,318,880**	**1,234,854,844**
DISPOSAL OF PROPERTY, PLANT & EQUIPMENT									
Disposals Proceeds	**-**	**-**	**-**	**-**	**547,500**	**80,816**	**-**	**-**	**628,316**

Property, plant and equipment include the following items that are fully depreciated:

	Cost or Valuation	Normal annual depreciation charge
Computer and related equipment	34,527,168	18,712,657
Motor Vehicles	46,375,187	10,938,463
	80,902,355	**29,651,120**

10 (b). ALLOCATION OF DEPRECIATION EXPENSES FOR PROPERTY, PLANT & EQUIPMENT

		2016	2015
Cost of Sales (Production Overheads)	**Appendix I**	14,194,884	18,166,910
Administrative Expenses		36,175,284	33,510,085
Total Depreciation expenses		**50,370,168**	**51,676,995**

NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 (a). PROPERTY, PLANT AND EQUIPMENT

2015	Land	Buildings & Civil Works	Plant and Machinery	Office Equipment	Motor Vehicles	Computers & Related Equipment	Application Systems	Office Furniture and Fittings	Total
	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs	Kshs
COST OR VALUATION			Re-stated						
At July 1, 2014	160,000,000	318,859,497	375,896,940	14,552,495	37,906,407	28,152,990	13,280,254	17,756,098	966,404,682
Additions upto 31/05/15	-	-	21,252,230	1,244,500	2,550,000	3,339,907	1,438,214	1,411,735	31,236,586
Disposals upto 31/05/15	-	-	-	-	(3,020,000)	-	-	-	(3,020,000)
Accum Depr at 31/05/15	-	(64,075,957)	(111,015,686)	(8,108,811)	(27,089,229)	(23,955,077)	(9,985,414)	(12,840,858)	(257,071,031)
At 30th May 2015 (A)	**160,000,000**	**254,783,540**	**286,133,483**	**7,688,185**	**10,347,178**	**7,537,821**	**4,733,055**	**6,326,975**	**737,550,237**
At June 30, 2015	-	-	-	-		-	14,718,469	-	**14,718,469**
Revaluation Cost (B)	**493,350,000**	**428,150,000**	**202,148,600**	**1,477,000**	**27,416,900**	**12,468,120**	-	**10,427,500**	**1,175,438,120**
Additions (after Revaluation)	-	-	50,499,138	70,561	8,772,687	226,584	-	-	**59,568,970**
	493,350,000	**428,150,000**	**252,647,738**	**1,547,561**	**36,189,587**	**12,694,704**	**14,718,469**	**10,427,500**	**1,249,725,558**
DEPRECIATION									
At May 31, 2015	-	11,691,515	17,818,398	1,782,094	5,979,114	4,701,141	3,567,878	2,122,862	47,663,002
Charge for the Year	-	1,427,167	1,052,699	16,120	753,950	317,368	338,068	108,620	4,013,991
	-	**13,118,682**	**18,871,097**	**1,798,214**	**6,733,064**	**5,018,509**	**3,905,946**	**2,231,482**	**51,676,993**
NET BOOK VALUE									
At June 30, 2015	**493,350,000**	**426,722,833**	**251,595,039**	**1,531,441**	**35,435,637**	**11,506,027**	**4,394,987**	**10,318,880**	**1,234,854,844**
At June 30, 2014	**160,000,000**	**266,475,055**	**282,699,652**	**8,225,779**	**13,776,293**	**8,987,955**	**5,902,509**	**7,038,102**	**753,105,345**

DISCLOSURES ON REVALUATION;

All categories of Assets were revalued as at 31st May 2015 by **M/s Sec & M Valuers Ltd**.

DISPOSAL OF PROPERTY, PLANT & EQUIPMENT

Disposals Proceeds	**-**	**-**	**-**	**-**	**1,651,250**	**-**	**-**	**-**	**1,651,250**

Property, plant and equipment include the following items that are fully depreciated:

	Cost or Valuation	Normal annual depreciation charge
Computer and related equipment	27,413,172	8,924,455
Motor Vehicles	36,189,587	6,733,064
	63,602,759	**15,657,519**

10 (b) ALLOCATION OF DEPRECIATION EXPENSES FOR PROPERTY, PLANT & EQUIPMENT

		2015	2014
Cost of Sales (Production Overheads)	**Appendix I**	18,166,910	17,277,632
Administrative Expenses		33,510,085	33,980,788
Total Depreciation expenses		**51,676,995**	**51,258,420**

		2016 Kshs	2015 Kshs
11.	**INTANGIBLE ASSETS**		
	COST		
	At July 1	14,718,469	13,280,254
	Additions	4,227,530	1,438,214
	Disposals	-	-
	At June 30	**18,945,999**	**14,718,469**
	AMORTISATION		
	At July 1	10,323,482	9,985,414
	Charge for the year	3,043,431	338,068
	Impairment Loss	-	-
	At June 30	**13,366,913**	**10,323,482**
	NET BOOK VALUE		
	At June 30	**5,579,086**	**4,394,987**
12.	**INVENTORIES**		
	Printed Books	393,228,551	458,581,843
	Provision for Slow Moving Stock	(2,660,484)	(2,404,541)
	Raw Materials	12,181,620	13,606,811
	Stationery & Other Consumables	3,705,092	2,960,020
	Library Books	1,436,060	1,080,289
	Work in Progress	13,284,404	13,306,772
		421,175,243	**487,131,194**
13 (a)	**TRADE AND OTHER RECEIVABLES**		
	Trade Receivables - Books	368,769,332	288,902,945
	Provision for Bad & Doubtful debts - Books	(6,472,506)	(5,731,839)
	Trade Receivables - Printing	38,600,250	50,208,960
	Provision for Bad & Doubtful debts - Printing	(1,423,389)	(1,224,484)
	Corporation Tax Receivable	-	22,415,987
	Royalty Advance	20,822	20,822
	Accrued Interest Income	4,669,571	4,946,498
	Other Receivables {inclusive of staff receivables Note **13 (c)}**	5,468,134	9,268,783
	Deposits and Prepayments	8,111,327	2,204,364
		417,743,543	**371,012,036**
13 (b)	**TRADE RECEIVABLES**		
	Gross trade receivables	407,369,582	339,111,905
	Provision for doubful receivables	(7,895,894)	(6,956,323)
		399,473,688	**332,155,582**
	At 30th June, the ageing analysis of the gross trade receivables was as follows:		
	Less than 30 days	157,694,387	115,433,028
	Between 30 and 60 days	61,072,974	46,543,191
	Between 61 and 90 days	31,194,958	26,264,186
	Over 90 days	157,407,263	139,212,656
		407,369,582	**327,453,061**
13 (c)	**STAFF RECEIVABLES**		
	Gross staff loans and advances	3,974,466	6,998,636
	Less: Amounts due within one year	(2,596,698)	(5,254,724)
	Amounts due after one year	**1,377,768**	**1,743,912**

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2016 Kshs	2015 Kshs
14. SHORT-TERM INVESTMENTS		
Short Term Deposits with Kenya Commercial Bank	411,095,020	346,634,446
Treasury Bills with Central Bank of Kenya	125,338,473	82,193,725
	536,433,493	**428,828,171**

The weighted average effective interest rate on shortterm bank deposits at the year-end was 9.20 %, while the for investments in Treasury bills was 9.023%.

15. CASH AND BANK BALANCES

Cash on Hand	200,000	200,000
Cash at Bank	143,235,900	118,569,231
	143,435,900	**118,769,231**

The bulk of the cash at bank was held Kenya Commercial Bank and National Bank of Kenya, the Bureau's main bankers.

16. CAPITAL FUND

The amount of Kshs. 1,000,000,000 being GOK injection is comprised of Kshs. 300,000,000 which the Government invested when establishing Kenya Literature Bureau through an Act of Parliament Cap. 209 No. 4 of 1980, while Kshs. 400,000,000 were transfers from Revenue Reserves of Ksh 200,000,000 each during financial years 1996/1997 and 2007/2008. A further Kshs 300,000,000 was transferred from the Revenue Reserves during the financial year 2012/2013.

Capital Fund	1,000,000,000	1,000,000,000
	1,000,000,000	**1,000,000,000**

17. REVALUATION RESERVES

Revaluation reserves relates to the revaluation of certain items of property, plant and equipment. As indicated in the Statement of Changes in Equity, this is stated after transfer of excess depreciation net of related deferred tax on retained earnings. Revaluation surlpuses are not distributable. Revaluation of assets was done in 2014/2015 for the assets in the books as at May 31, 2015.

Revaluation Reserves	580,120,938	580,120,938
	580,120,938	**580,120,938**

18. REVENUE RESERVES

The retained earnings represent amounts available for distribution to the Government of Kenya. Undistributed retained earnings are utilised to finance the Bureau's business activities.

Retained Earnings	902,231,260	765,795,260
	902,231,260	**765,795,260**

19. TRADE AND OTHER PAYABLES

Trade Payables	88,830,216	195,962,331
Dividend Payable	15,159,555	13,397,790
Accrued Royalties	64,426,554	39,784,585
VAT Payable	23,066,819	12,947,493
Audit Fees Provision	812,000	812,000
Other Payables	23,983,282	11,503,061
Corporation Tax Payable	22,951,446	-
Accrued Expenses	4,152,198	4,998,919
Withholding Tax Due	2,815,281	3,362,020
Inventory Clearing Accounts	17,660,763	11,911,079
	263,858,115	**294,679,278**

20. RETIREMENT BENEFIT OBLIGATIONS

The Bureau operates a defined contribution scheme for the full time employees from 1st April 2011. The scheme is administered by an in-house Board of Trustees and is funded by contributions from both the Bureau and its employees. Further, the Bureau operates a defined benefit scheme which remains a closed fund for employees that were aged above 45 years as at 1st April 2011. The scheme does not admit new members. All permanent staff joining the Bureau are registered for the defined contribution scheme after probation. The year end of the two schemes is 31st December. The Bureau also contributes to the statutory National Social Security Fund (NSSF). This is defined contribution scheme registered under the National Social Security Act. The Bureau's obligation under the scheme is limited to specific contributions legislated from time to time and is currently dependent on the earnings per employee per month.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2016 Kshs	2015 Kshs Re-stated
21. NOTES TO THE STATEMENT OF CASH FLOWS		
(a) Reconciliation of operating profit/(loss) to cash generated from /(used in) operations		
Operating profit for the year	222,615,419	176,323,821
Adjustments for:		
Depreciation Expenses	50,370,168	51,676,993
(Decrease)/Increase in Prov. for Slow Moving Stock	255,943	(821,414)
Provision for Doubtful Debts	939,571	1,164,030
Foreign Exchange (Gain)/ Loss	-	606,906
Net Interest Income	(43,361,961)	(27,874,083)
(Profit)/Loss on disposal of Assets	793,901	(1,651,250)
Operating profit before Working Capital Changes	**231,613,041**	**199,425,001**
(Increase)/Decrease in Inventories	65,700,008	90,363,400
(Increase)/Decrease in Receivables	(70,363,992)	(65,680,653)
(Increase)/Decrease in Payables	(55,534,374)	64,935,831
Cash generated from operations	**171,414,683**	**289,043,578**
(b) Analysis of cash and cash equivalents		
Short Term Deposits with Kenya Commercial Bank	411,095,020	346,634,446
Treasury Bills with Central Bank of Kenya	125,338,473	82,193,725
Cash at bank	143,235,900	118,569,231
Cash at hand	200,000	200,000
	679,869,393	**547,597,402**
(c) Analysis of dividend paid		
2012 Dividend paid	9,165,303	
2013 Dividends paid	10,001,069	
2014 Dividends paid	10,679,315	
2015 Dividends paid	13,419,470	
	43,265,157	

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2016 Kshs	2015 Kshs

22. RELATED PARTY DISCLOSURES

(a) Government of Kenya

The Government of Kenya lis the principal shareholder of Kenya Literature Bureau, holding 100% of the Bureau's equity interest.
There were no other Bureau's transanctions involving the Government of Kenya.

(b) Employees

The Bureau provides certain qualifying employees with car loans in a funded arrangement with Kenya Commercial Bank Ltd, on terms more favourable than available in the market. The benefit obtained by the staff is subjected to income tax as required under the Kenya Income Tax Act. The cars are registered in joint names of the Bank and the employees for the car loan. The short-term deposits with principal amount of Kshs. 10 million are held for the purpose and earn a lower interest rate than the market rate. The Bureau is only liable when the employement contract with the employee is in force.

(c) Directors' renumeration and related costs

Allowances and other emoluments and costs for directors	**11,860,946**	**4,672,805**

The rise in directors' renumeration resulted from the exit of the former Board and appointment of new Board and releated costs of induction.

(d) Key management compensation

Salaries and other employment benefits	57,807,989	44,711,577
Managing Director's Gratuity benefits	4,396,953	-
	62,204,942	**44,711,577**

The Bureau has a defined benefits and contribution plan whose benefits are payable by the Fund Manager or the annuity service provider and which are independently accounted for by the respective companies.

23. CAPITAL COMMITMENTS

Amounts authorised and contracted for includes;

Plant & Equipment	9,600,000	19,945,000
Furniture & Fittings	-	-
Computer Equipment	-	-
	9,600,000	**19,945,000**

24. CONTIGENCIES

(i) A contigent liability exists from a demand notice issued by National Social Security Fund for penalties and interest on contributions arrears dating back to 1993 amounting to Kshs 27,650,838/= which is still in dispute. The Bureau has engaged in fruitful discussions, which are at an advanced stage for waiver of the said penalties and interest. Further, NSSF have agreed to halt any further demand notice and accumulation of the amounts. The amount, which may be settled in future, cannot be measured with sufficient reliability. The directors estimate that no material liability will arise on the assesment and have made no provision.

24. CONTIGENCIES (Continued)

(ii) A contigent liability exists from a demand notice based on the tax audit conducted by Kenya Revenue Authority (KRA) for the years 2007 to 2010 amounting to Kshs 125,560,306 (being principal amount) for which a waiver for penalties and interest was approved by then Minister for Finance in April 2013. The Bureau has held successful negotiations with the officials of Kenya Revenue Authority and the National Treasury, with a view to abandoning the principal tax as had been earlier agreed. During the discussions, KRA agreed to stay the demand notice pending the outcome of the matter. The amount payable, which may be settled in future, cannot be measured with sufficient reliability. The current tax obligations have been liquidated as per Income Tax Act, and there are no outstanding liabilities. The directors estimate that no material liability will arise on the assesment and have made no provision.

25. INCORPORATION

Kenya Literature Bureau is incorporated in Kenya under the Act of Parliament Cap. 209 of 1980 (Revised 2012) and is domiciled in Kenya.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

APPENDIX I

DETAILS OF PRODUCTION OVERHEADS

	2016 Kshs	2015 Kshs
Basic Salaries	41,763,931	32,846,415
House Allowance	11,377,000	10,746,124
Other Personal Allowance	4,147,622	3,912,617
Leave Allowance	2,730,448	887,896
Gratuity & Pensions	22,807,962	17,844,371
Transport Operating Expenses	1,514,930	1,852,939
Telephone Expenses	633,693	753,026
Electricity, Water & Conservancy	7,251,294	7,969,197
Purchase of Uniform & Clothing	127,915	86,193
Stationery Expense	550,479	477,280
Hire of Casuals	5,487,254	3,914,870
Staff Training & Recruitment Expenses	5,145,294	2,011,922
Staff Welfare Expenses	2,735,744	2,638,897
Medical Expenses	6,538,520	7,033,566
Insurances Expenses	1,842,955	1,080,588
Maintenance of Plant & Equipment	29,187,989	18,295,172
Maintenance of Office Equipment	47,096	-
Maintenance of Buildings	2,522,422	2,061,711
Depreciation Expenses	14,194,884	18,166,910
Security Expenses	1,340,009	1,307,920
Overtime Allowances	669,256	428,542
	162,616,695	**134,316,156**